

2014 SCC OnLine Comp AT 17 : [2014] Comp AT 12

In the Competition Appellate Tribunal

(BEFORE V.S. SIRPURKAR, CHAIRMAN, RAHUL SARIN, MEMBER AND PRAVIN TRIPATHI,
MEMBER)

Appeal No. 20 of 2011

DLF Limited, DLF Centre, Sansad Marg, New Delhi-110
001 ... Appellant;

Versus

Competition Commission of India, Hindustan Times
House, 18-20, Kasturba Gandhi Marg, New Delhi-110
001; and Others ... Respondents.

Appeal No. 22 of 2011

DLF Limited, DLF Centre, Sansad Marg, New Delhi-110
001 ... Appellant;

Versus

Competition Commission of India, Hindustan Times
House, 18-20, Kasturba Gandhi Marg, New Delhi-110
001; and Others ... Respondents.

Appeal No. 19 of 2012

DLF Limited, DLF Centre, Sansad Marg, New Delhi-110
001 ... Appellant;

Versus

Competition Commission of India, Hindustan Times
House, 18-20, Kasturba Gandhi Marg, New Delhi-110
001; and Others ... Respondents.

Appeal No. 23 of 2011

DLF Limited, DLF Centre, Sansad Marg and Another ...
Appellants;

Versus

Competition Commission of India, Hindustan Times
House and Others ... Respondents.

Appeal No. 12 of 2012

DLF Limited, DLF Centre, Sansad Marg, New Delhi-110
001 ... Appellant;

Versus

Competition Commission of India, Hindustan Times
House, 18-20, Kasturba Gandhi Marg, New Delhi-110

001; and Others ... Respondents.

Appeal No. 20 of 2012

DLF Limited, DLF Centre, Sansad Marg, New Delhi-110

001 ... Appellant;

Versus

Competition Commission of India, Hindustan Times

House, 18-20, Kasturba Gandhi Marg, New Delhi-110

001; and Others ... Respondents.

Appeal No. 29 of 2013

DLF Limited, DLF Centre, Sansad Marg, New Delhi-110

001 ... Appellant;

Versus

Competition Commission of India, Hindustan Times

House, 18-20, Kasturba Gandhi Marg, New Delhi-110

001; and Another ... Respondents.

Appeal No. 08 of 2013

DLF Limited, DLF Centre, Sansad Marg, New Delhi-110

001 ... Appellant;

Versus

Competition Commission of India, Hindustan Times

House, 18-20, Kasturba Gandhi Marg, New Delhi-110

001; and Others ... Respondents.

Appeal No. 09 of 2013

DLF Limited, DLF Centre, Sansad Marg, New Delhi-110

001 ... Appellant;

Versus

Competition Commission of India, Hindustan Times

House, 18-20, Kasturba Gandhi Marg, New Delhi-110

001; and Others ... Respondents.

Appeal No. 11 of 2013

DLF Home Developers Ltd., M/s. DLF Limited, DLF

Centre, Sansad Marg, New Delhi-110 001 ...

Appellant;

Versus

Competition Commission of India, Hindustan Times

House, 18-20, Kasturba Gandhi Marg, New Delhi-110

001; and Others ... Respondents.

Appeal No. 20 of 2011⁺, Appeal No. 22 of 2011⁺, Appeal No. 19 of
2012⁺, Appeal No. 23 of 2011⁺, Appeal No. 12 of 2012⁺, Appeal No. 20
of 2012⁺, Appeal No. 29 of 2013⁺, Appeal No. 08 of 2013⁺, Appeal

No. 09 of 2013^{*S}, Appeal No. 11 of 2013^{+*}

Decided on May 19, 2014

Advocates who appeared in this case :

Shri Harish N. Salve, Senior Advocate with Shri Ravinder Narain, Ms. Kanika Gomber, Shri Siddharth Banthia, Ms. Nimita Kaul, Shri Prabal Mehrotra, Shri Kishan Rawat, Shri Karan Lahiri and Ms. Karuna, Advocates for DLF/DLF Home Developers Ltd.

Shri Balbir Singh with Shri Abhishek Singh Baghel and Ms. Monica Benjamin, Advocates with Ms. Shabistan Aquil, Deputy Director (Law) for Competition Commission of India.

Shri Vaibhav Gaggar with Ms. Garima Malhotra, Ms. Gauhar Mirza and Ms. Reena Kumar, Advocates for Belaire Owners Association and DLF Park Place Residents Welfare Association.

Shri Rakesh Khanna with Shri Udit Kumar and Shri Arzu Chimni, Advocates for Magnolias Flat Owners Association.

Shri Narender Hooda, Sr. Additional Advocate General with Ms. Anubha Agrawal, Shri Mohit Bhardwaj for State of Haryana, DTCP.

Shri Shivendra Dwivedi with Ms. Rokokieno Mor, Advocates for HUDA.

The Order of the Court was delivered by

V.S. SIRPURKAR, CHAIRMAN:— In this judgment, we shall be dealing with Appeal Nos. 20 of 2011, 22 of 2011, 23 of 2011, 12 of 2012, 19 of 2012, 20 of 2012, 8 of 2013, 9 of 2013, 11 of 2013 and 29 of 2013. These Appeals can be grouped as under:—

Group 1: Appeal No. 20 of 2011, Appeal No. 22 of 2011 and Appeal No. 19 of 2012.

Group 2: Appeal No. 23 of 2011, Appeal No. 12 of 2012, Appeal No. 20 of 2012 and Appeal No. 29 of 2013.

Group 3: Appeal No. 8 of 2013, Appeal No. 9 of 2013, and Appeal No. 11 of 2013.

2. The 1st group consists of Appeal No. 20 of 2011 which relates to Competition Commission of India (in short the 'CCI') Case No. 19 of 2010 in which Belaire Owners Association ('BOA') was the Informant. Appeal 22 of 2011 relates to CCI Case No. 18 of 2010 in which Park Place Resident Welfare Association ('PP-RWA') was the Informant. Appeal No. 19 of 2012 relates to CCI Case No. 67 of 2010 in which the Magnolia Flat Owners Association ('MFOA') and one Shri Rahul Kapoor were the Informant. Thus the 1st group mainly consists of Flat Owners Association of Belaire, Park Place and Magnolia as the Informants before the CCI.

3. The 2nd group consists of Appeal No. 23 of 2011 which relates to CCI Case No. 24, 30, 31, 32, 33, 34, 35 of 2010 in which Shri Pushkar Dutt Sharma and Smt. Kiran Sharma were the Informants. Similarly Appeal No. 12 of 2012 relates to CCI Case No. 55 of 2010 in which Mili Marketing

Private Limited was the Informant. Similarly, Appeal No. 20 of 2012 relates to CCI Case No. 43 of 2010 and 44 of 2010 in which Shri Haravtar Singh and Smt. Gurjit Kaur Arora were the Informants respectively. Appeal No. 29 of 2013 relates to CCI Case No. 46 of 2012 in which Shri Dinesh Trehan was the Informant.

4. The 3rd group consists of Appeal No. 8 of 2013, 9 of 2013 and 11 of 2013 which are essentially against the alleged Supplementary Order passed by CCI on 3rd January 2013 and 10th January 2013.

5. While Appeal No. 20 of 2011 is against the order by CCI dated 12th August, 2011; Appeal Nos. 22 and 23 of 2011 are against the order by CCI dated 29th August, 2011, where a common order has been passed by the CCI. In Appeal No. 19 of 2012, however a separate order was passed by CCI on 31st January, 2012. The subject matter of these three Appeals as well as the contentions raised are common, although there is some material difference in the facts, since all these three orders by CCI dated 12th August 2011, 29th August 2011 and 31st January 2012 pertain to three different apartments built by DLF, namely-Belaire, Park Place and Magnolia.

6. Similarly, Appeal No. 12 of 2012 is against the order by CCI dated 14th November, 2011; Appeal No. 20 of 2012 is against the order by CCI dated 31st January, 2012; and Appeal No. 29 of 2013 is against the order by CCI dated 1st July, 2013; thus, there is some commonality in the orders dated 14th November 2011, 31st January 2012 and 1st July 2013.

7. In practically all the appeals, except in Appeal No. 20 of 2012 and 29 of 2013, there are common parties like Haryana Urban Development Authority (in short the 'HUDA') and Department of Town and Country Planning (in short the 'DTCP'). In these two appeals namely Appeal No. 20 of 2012 and 29 of 2013, they are not made the parties as they were not arrayed as the opposite parties in the Information laid before the CCI. In these two Appeals, only DLF Ltd. was shown as the opposite party.

8. We shall initially deal with 1st group of Appeals, namely-Appeal No. 20 of 2011, which deals with 'Belaire' apartments constructed by DLF Ltd. (the 'Appellant'). Even Appeal No. 12 of 2012, Appeal No. 20 of 2012 and Appeal No. 29 of 2013 pertain to the apartments called 'Belaire'. So also we shall deal with Appeal No. 22 and Appeal No. 23 of 2011, which pertain to the apartments called 'Park Place'. Lastly, Appeal No. 19 of 2012, which pertains to the apartments called 'Magnolia'.

9. Needless to say that in so far as the Belaire apartments are concerned, the CCI has passed as many as four orders, they being 12th August 2011, disposing of CCI Case No. 19 of 2010, which pertains to Appeal No. 20 of 2011; CCI order dated 14th November 2011, disposing of CCI Case No. 55 of

2010, which pertains to Appeal No. 12 of 2012; CCI order dated 31st January 2012, disposing of CCI Case No. 43 and 44 of 2010, which pertains to Appeal No. 20 of 2012; and lastly the CCI order dated 1st July 2013, dealing with CCI Case No. 46 of 2012, which pertains to Appeal No. 29 of 2012. In so far as apartments 'Park Place' is concerned, there is only one order by CCI dated 29th August 2011, dealing with CCI Case No. 18, 24, 30, 31, 32, 33, 34 and 35 of 2010, which pertains to Appeal No. 22 and Appeal No. 23 of 2011. Lastly, information regarding the Magnolia apartments called is dealt by the CCI order dated 31st January 2012, dealing with CCI Case No. 67 of 2010, which pertains to Appeal No. 19 of 2012.

10. This marathon litigation commenced on 5th May 2010 when Belaire Owners' Association placed information before the CCI. This was not going to be the only information against the Appellant in respect of the Belaire housing complex constructed by them. Some further information was also placed on 21st October 2010 by one M/s Mili Marketing Private Limited on the basis of which Case No. 55 of 2010 was instituted. More information came to be led on 8th August 2011 by two owners on the basis of which two separate cases, Case No. 43 of 2010 and Case No. 44 of 2010 were instituted. Lastly one Mr. Dinesh Trehan led the information before the CCI on the basis of which Case No. 29 of 2013 was instituted.

11. It was stated in the first information dated 5th May 2010 that the Appellant announced a housing complex, named as 'The Belaire' consisting of five multi-storied residential buildings to be constructed on the land earmarked in Zone 8, Phase-V in DLF City, Gurgaon, Haryana. As per the advertisement by the Appellant, each of the five multi-storied buildings was to consist of 19 floors and 368 apartments. As per the advertisement, the construction was to be completed within a period of 36 months. It was averred that in place of 19 floors with 368 apartments, the Appellant constructed 29 floors in all the buildings and consequently the areas and facilities originally earmarked for the apartment allottees were substantially compressed. It was further pointed out that the project was abnormally delayed, as a result of which, hundreds of apartment allottees had to bear huge financial losses, in the sense that their hard-earned money was blocked, and they had to wait indefinitely for occupation of their respective apartments.

12. It was also pointed out that the Apartment Buyer's Agreements were signed months after the booking of the apartment and by that time the allottees had already paid substantial amount as they hardly had any option but to adhere to the dictates of Appellant. The said Apartment Buyer's Agreement ('ABA') was devised by the Appellant for booking the apartments and a person desirous of booking the apartment was required to accept it in 'toto' by giving assent to the ABA on signing the dotted lines,

even when clauses of the ABA were onerous and one-sided.

13. The information proceeded to state that while the Appellant had the absolute right to reject and refuse to execute the ABA without assigning any reason, cause or explanation to the intending allottee, it was averred, that there was no scope of discussions or variations in the terms of the ABA. It was pointed out that on the date of announcing the scheme of 'The Belaire' or even while executing the ABA, the Appellant did not have the approval of concerned authorities, in the sense that there was no approved layout plan. It was averred that the ABA stifles the voice of buyers by inserting unreasonable waiver clause and that no consent of the apartment allottee was required, if any change or condition was imposed by the Department of Town and Country Planning ('DTCP') while approving the layout plan.

14. It was further submitted that the action on the part of the Appellant in advertising the project and issuing allotment letter without preparing and submitting the building plans/lay-out plans of the project to the Town Planner was in defiance of a decision rendered in a case involving the Appellant by the National Consumer Disputes Redressal Commission, New Delhi. It was also submitted that the Appellant reserved to itself, by inserting Representation "E", the exclusive and sole discretion not only to change the number of zones but also their earmarked uses from residential to commercial. Similarly by inserting Representation "F", the Appellant, could unilaterally reduce the earmarked land of 6.67 acres for the multi storied apartments.

15. It was also submitted that the Clauses "J" and "K" were inserted to the effect that the apartment allottee would not be even permitted to carry out any investigation and wouldn't be entitled to raise any objection to the competency of the Appellant. It was further informed that vide Clause 1.1 of the ABA, the apartment allottee had to pay sale price for the Super Area of the apartment as also for undivided proportionate share in the land underneath the building on which the apartment was located. The Appellant had authorized itself vide Clauses 3 and 4 of the ABA that it could retain 10% of the sale price as earnest money for the entire duration of the apartment on the pretext that the apartment allottee complies with the terms of the ABA.

16. It was further complained that the ABA did not contain proportionate liability clauses to fasten commensurate penalty/damages for breach in discharge of its obligations. It was further provided that if any amount was to be returned to the apartment allottee due to the change in layout plan, the Appellant would not refund the said amount, but it would retain and adjust this amount in the last installment payable by the apartment allottee and the apartment allottee would not be entitled to any interest on the said amount either. It was provided that if there was a change in the super area at the time of completion of building and issuance of occupation certificate, the total price shall be recalculated and if any amount is required to be

returned, the apartment allottee would not get the refund and this amount would be retained by the Appellant with the right to adjust this refund amount against the final installment as well. The apartment allottee also had to forego the interest on this amount.

17. It was further submitted that as per Clause 1.7 of the ABA the allottees were promised ownership right of their apartment as also pro-rata ownership right of land beneath the building and though they had pro-rata right of common areas and facilities including the proportionate share of club and other common facilities outside the Belaire/Park Place/Magnolia apartment the allottee having paid for the proportionate share in the ownership of the said land, the Appellant had reserved to itself the sole discretion to modify the ratio with the purpose of complying with Haryana Apartment Ownership Act, 1983.

18. Clause 8 of the ABA was also complained against as being arbitrary and one-sided, in the sense, that time was made essence with respect to apartment allottee's obligations to pay the price and perform all other obligations under the ABA, whereas the Appellant conveniently relieved itself by not making time as essence for completion in fulfilling its obligations, regarding handing over physical possession of the apartment to the apartment allottee. Similarly Clause 10.1 of the ABA was also complained against as being unreasonable. Various other averments were made against Clause 9.1 of the ABA under which the Appellant had reserved to itself the right not only to alter/delete/modify building plan, floor plan, but even increase the number of floors and/or number of apartments. The apartment allottees could not claim any reduction in price occasioned by the reduction in the area due to the increased number of floors and apartments. They were only to receive a mere formal intimation and in case the apartment allottee refused to give consent, the Appellant had the discretion to cancel the ABA and refund the payment made by the apartment allottee with interest @ 9% per annum. It was urged that in case of default by the apartment allottees, the rate of penal interest was kept as high as 18%.

19. It was further submitted that the collection of money was not commensurate with the stage-wise completion of the project. Clause 11.3 of the ABA stipulated that in the event of Appellant failing to deliver the possession, the apartment allottee shall give notice for terminating the ABA and the Appellant would have no obligation to refund the amount to the apartment allottee, but would have right to sell the apartment and only thereafter repay the amount. There was no obligation even to pay interest on the sale proceeds. The quantum of compensation was unilaterally fixed by the Appellant at the rate of Rs. 5/- per sq.ft. which was a mere pittance. The *force majeure* clause covered by Clause 11.1 of the ABA was alleged against and so also Clause 22.1 of the ABA which gave exclusive discretion to the Appellant to erect additional structures upon the said building and also make the additional structure the sole property of the Appellant.

Similarly, Clauses 23 and 24 of the ABA were complained as making serious encroachment on rights of the apartment allottees. These clauses were also not reconcilable with the provisions of section 9 of the Haryana Apartment Ownership Act, 1983 as well. It was submitted that Clause 32 of the ABA permitted the Appellant to unilaterally amend or change annexure to the ABA which describe the apartment area, super area, common area and club facilities etc. as also the nature of equipments, fittings etc.

20. Clause 35 of the ABA was also complained against whereby the apartment allottee was foisted with liability to pay exorbitant rate of interest in case of failure to make payment of installment in due time i.e. @ 15% for the first 90 days and 18% after 90 days. In case of default on the part of the Appellant, however, the Appellant was to pay Rs. 5/- sq.ft. to the allottee for per month delay. Complaint was also made against the brochure which promised innumerable additional facilities, like, schools, shops and commercial spaces within the complex, club, dispensary, health centre, sports and recreational facilities, etc. However, as per Part "E" of the ABA, the Appellant was to have absolute discretion and right to decide on the usage, manner and method of disposal.

21. In short, the ABA was described as one sided and discriminatory and it was stated that the construction linked payment started much later. It was urged that basic and fundamental information was concealed and an example was cited of one Mr. Sanjay Bhasin from whom 85 lakhs were extracted by 16th January 2007, a date on which the ABA was executed. However, he was not even aware of the sweeping terms and conditions contained in the ABA. The action on the part of the Appellant in not applying for and obtaining sanction of the building plan was also complained of.

22. It was urged that buyers were kept in dark for more than 13 months, and it was only on 22nd October 2007 that they were informed about the addition of 10 floors. In the process, the Appellant was enriched because of the payment of installments from November 2006 onwards up to September 2007. Further complaint was made that it was only on 22nd October 2007 that the allottees were ex-post-facto conveyed that the original project of 19 floors was scrapped and a new project of 29 floors was put in its place. According to the information this decision to increase the number of floors was without consulting the allottees and there was no proportionate reduction in the price paid by the existing allottees whose rates were calculated purely on the basis of 19 floors and the land beneath it. It was urged that the increase in number of floors and additional apartments had compressed the common area and facilities and all this was in violation of the provisions of the Haryana Apartment Ownership Act, 1983. An instance was also cited of one RKG Hospitality Private Ltd. who had complained about the delay of 8 months in completion of the project and also about the increase in the number of floors from 19 to 29. A reference was made to the

reply of the Appellant wherein Appellant had referred to Clause 9.1 of the ABA. The rejoinder sent by the Appellant was described as unfair, unreasonable and unconscionable. The reliance of the Appellant on the fact that the buyer had signed the ABA after going through and understanding the contents was also referred to. Reference was made to the correspondence between RKG and the Appellant. A complaint was made that old allottees were given discount only @ Rs. 250 per sq.ft. while after the revised plans the prospective buyers were given discount @ Rs. 500 per sq.ft. A reference was also made to the Ministry of Housing and Urban Poverty Alleviation. A further reference was made to the letter written to Mr. Pankaj Mohindroo dated 13th April 2010 cancelling the allotment of his apartment for non-payment of dues and consequent forfeiture of an amount of Rs. 51,00,000/-.

23. It was also stated that the Appellant had given false information to SEBI while seeking permission for public issue of its equity shares. It was further urged that the rules regarding the density, height of the building and rules regarding safety from fire were breached. Similar complaint was also made about the engineering norms.

24. It was urged that the statutory approvals and clearances were not obtained which resulted in unreasonable delay.

25. In short, it was contended that in the present form the ABA was heavily in favour of the Appellant in as much as it gave unbridled decision-making power in favour of the Appellant. All the above-said clauses were described as ex-facie unfair and discriminatory attracting the provisions of section 4(2)(a) of the Competition Act, 2002 (hereinafter "Act"). It was urged that this amounted to abuse of dominant position by the Appellant. A complaint was also made against the government agencies for showing undue favours to the Appellant.

26. On the basis of this information, the CCI ordered investigation by the Director General (in short the 'DG'), who proceeded and came out with a report.

27. Similar such informations were later on placed before the CCI on 8th August 2011 by two owners of Belaire apartments, on the basis of which, two cases were registered, they being CCI Case No. 43 of 2010 and Case No. 44 of 2010. As if that was not sufficient, one M/s. Mili Marketing Pvt. Ltd. led similar information on 21st October 2010 on the basis of which Case No. 55 of 2010 was registered and lastly, one Shri Dinesh Trehan, again an owner of Belaire apartments led information on the basis of which CCI Case No. 46 of 2012 was instituted. These informations were more or the less on identical lines, as in CCI Case No. 19 of 2010, against which Appeal No. 20 of 2011 was filed.

28. The DG proceeded with the investigation and concluded that though the information pertained to the agreement prior to May 20, 2009, still the

CCI could entertain the same. For this, the DG relied on a judgment passed by the Bombay High Court in case of *Kingfisher Airlines Limited v. CCI* (WP No. 1785 of 2009). In so far as the other issue of relevant market was concerned, the DG found that the Appellant was providing services for which the DG relied on the definition of 'service' in section 2(u) of the Act by the DG. The DG also referred to section 65(105)(zzzzu) of Finance Act, 1994, by which such service was included for the purposes of service tax. In that view, the DG came to the conclusion that the relevant product would be 'services' provided by developers for providing high-end apartments to the customers. The DG stated the apartments in the said building as 'high-end apartments', as the DG found special category of the apartments, costing more than Rs. 2-3 crores. As far as 'relevant geographic market' is concerned, the DG found the territory of Gurgaon of National Capital Region (hereinafter 'NCR') of Delhi, as the relevant geographic market. The DG found that a person who wants to reside in Gurgaon for various reasons like offices, work place, schools, colleges, would like to settle only in Gurgaon and would not be like to shift to any other place in NCR.

29. Considering the overall facts, the DG came to the conclusion that the Appellant was a dominant player in the relevant market. For this, the DG considered the various factors in section 19(4) of the Act. For this purpose, the DG also considered the market share of the Appellant and referred to the Red Herring Prospectus, which was filed before SEBI on 25.05.2007, in which the Appellant himself had described itself to be the largest real estate development company in India in terms of area and completed residential and commercial developments. The DG also referred to the speech of Shri K.P. Singh, who heads the Appellant, wherein Shri K.P. Singh had made a statement that his company DLF was regarded as the largest real estate developer in the world and had a pan-India presence with over 50 million square feet under construction. The DG also referred to the annual report of the Appellant for the year 2009, in which it was mentioned that Appellant's dominant position in Indian homes segment was established due to its trusted brand; its superior execution track record; pioneered townships and group housing in India; complete offering of super luxury; luxury and mid-income homes; 195 m.s.f. of plots and 21 m.s.f. of group housing developed; 290 m.s.f. of development potential; and 16 m.s.f. under construction. Various other documents and studies were consulted by the DG, while coming to this finding. The DG ultimately found that market share of the Appellant in the relevant market of Gurgaon during the period 2007–2008 and 2008–2009 could be around 70% and 65% respectively, which could be viewed as the largest market share. The DG refuted the claim of the Appellant that they were not the dominant players and also took note of the various study reports placed before it. On practically all the factors in section 19 of the Act, the DG found the Appellant to be a dominant player. The DG also considered the size and resources of the Appellant, size and

importance of the competitors, as also economic power of the enterprise including commercial advantages over competitors etc. The DG also commented on vertical integration of the enterprise or sale or service network and dependence of consumers on the enterprise. The DG also referred and commented on entry barriers, such as regulatory barriers, financial risk, high capital cost of entry, marketing entry barriers, technical entry barriers, economies of scale, high cost of substitutable goods or service for consumers. The facts like countervailing buying power, social obligations and social costs were also considered by the DG. The DG's ultimate conclusion was as follows:

“it is due to its sheer size and resources, market share and economic advantage over its competitors that DLF is not sufficiently constrained by other players operating in the market and has got significant position of strength by virtue of which it can operate independently of competitive forces restraints and can also influence consumers in its favour in the relevant market in terms of explanation to section 4 of the Act.”

30. The DG found that the Appellant had abused its dominant position. For that the DG relied on the following facts:—

- a) Commencement of project without sanction/approval of the projects.
- b) Increase in number of floors mid-way.
- c) On constructing of floor area ratio and density per acre.
- d) The fact that time schedule for completion and possession was not kept by the Appellant.
- e) The action on the part of the Appellant to forfeit the amounts paid by the consumers.

31. The DG also found fault with the language of the ABA and found it to be totally one sided. For that the DG particularly referred to Representation-F, which gave the right to the Appellant to reduce the land unilaterally pursuant to approval/sanction of the layout plan. The DG also referred to various other factors in the ABA including Clauses 23 and 24 of the ABA thereof. The DG also commented on the delay in completing the project and the effect thereof. The DG also referred to clauses whereby the allottees were subjected to payment of interest @ 15% per annum or as the case may be, 18% per annum, if the period for their payment was defaulted. Thus, on various other factors, the DG found the Appellant clearly guilty of abusing its dominant position. This report was forwarded to the CCI.

32. Along with the information, there was an application filed under section 33 of the Act for some interim orders to the following effect:—

- a) to freeze 29.87 acres of land based upon calculation of FAR and restrain the Appellant from alienating or utilizing the said land for the purpose other than for “the Belaire”.
- b) to constitute an “Overseeing Committee” for supervising the completion of the project within a strict time frame.

- c) to restrain the Appellant from collecting any amount on account of service tax.
- d) to restrain the Appellant from levying and collecting the parking charges.
- e) to recalculate the consideration amount taking the super area maximum of 18%.

33. The CCI allowed this application and issued certain directions in the nature of injunction. This order was appealed against, but the Appeal was disposed off on the ground that the matter had already been fixed for final disposal by the CCI. The report was objected to by the Appellant, Haryana Urban Development Authority as also by DTCP. The CCI in its order has referred to all the objections raised in detail.

34. Basically, the DG's report was objected by the Appellant, on the ground that all the material relied upon in the said report were not supplied to the Appellant. The report was also objected as being incomplete in terms of Regulation 20(4) and Regulation 21(1) of the CCI (General) Regulations, 2009. A writ petition was also filed in the Delhi High Court, to get the DG's report quashed. Although that request was not granted, on the assurance given to the Court by the CCI, directions were given to the effect that inspection could be granted of the investigation records. Accordingly, the Appellant took the inspection.

35. The Appellant also objected to the jurisdiction of CCI on the ground that the booking application was dated 2006, and subsequent ABA were executed mostly in the year 2006–2007. Both these dates were prior to 20th May, 2009, that is prior to coming into force of section 4 of the Act, therefore, the said agreements could not have been taken for consideration. It was also suggested that the Act was not retrospective and as such, there was no question of breach of section 4. It was therefore, urged that the concept of dominant position was not available on these dates, as this concept was introduced only by section 4 after 20th May, 2009.

36. It was also urged that the DG had not properly defined the product as well as the geographic market. According to the Appellant, geographic market should not have been limited to Gurgaon, but should have been a broader market like NCR including Gurgaon, NOIDA, Greater NOIDA, Faridabad, Ghaziabad etc.

It was reiterated that section 4(2)(a) can come into consideration only when an enterprise or group directly or indirectly imposes, unfair or discriminatory conditions in purchase or sale of goods or service. It was pointed out that the agreement being for the apartment could not be covered under the definition of 'goods', nor could the apartment owner be described as 'consumer' under section 2(f)(ii) of the Act. It was also urged that the reliance on section 65 of Finance Act, 2010 were also not apposite as this was not a 'service'.

37. It was urged that there were number of players operating in Gurgaon and there was intense competition in the market. Merely because the Appellant was a huge powerful company, it could not have been said to enjoy a dominant position. The report by Jones Lang Lasalle (JLLS), was also relied upon to suggest that since the sales figures of the other developers/builders was not available, there was no question of arriving at correct market shares. As regards the market share was concerned, it was contended that the DG had not considered large number of companies and the data based on CMIE report was unreliable as number of companies were omitted. The DG's reliance on research report of E. Pratibhan was also objected to as being incorrect. It was urged that between 2002 to 2010, licenses granted to the Appellant were only 8% of the group housing projects. The overall contents of the information were also objected to as being vague and it was urged that the Appellant could not be said to be enjoying dominant position. According to the Appellant, the present case related to the purchase and sale of 'residential properties' and as such, the Appellant could not have been said to have a dominant position. It was pointed out that in the area of NCR, the Appellant had sold far less units as compared to others, at least for the years 2008, 2009 and 2010. It is also urged that some other companies like Parsvanath, Unitech and Ansal were comparable too, if not better than the turnover of the Appellant in this market. It was pointed out that no new projects were launched by the Appellant in Gurgaon during 2009 and there were many others builders in the market, who had done better business than the Appellant. The DG report was also objected to, on the ground of non-consideration of the material facts including reports of Genesis. In short, it was contended that the Appellant cannot be viewed as enjoying a dominant position, considering all the aspects of section 19(4).

38. As regards the abuse of dominance, it was contended that there was no question of imposition of unfair or discriminatory conditions, much less after 20.05.2009. It was urged that in these agreements number of beneficial clauses for the flat owners were agreed to by the Appellant. It was insisted that all the approvals and clearances were legally obtained and were in order. The Appellant refuted the contentions regarding violation of FAR and density per acre norms.

39. It was pointed out that initially itself the apartment owners had agreed that the Appellant could increase the height/number of floors in future. The structural design and foundation agreement were made at the initial stages on that basis only and there was no infirmity in terms of structural strength. According to the Appellant, the consideration of increase in floors were irrelevant. The Appellant also denied allegation of changing the zone plan, usage pattern etc. As regards representation-F of the agreement, it was contended that there was no issue of reduction in the land area, since the construction of the building had already been put up. It

was pointed out that all the allottees were fully aware of all the charges like PLC. Regarding the super area, it was pointed out that it was tentative and could be decided only at the completion of the project. As regards, the exit option, it was urged that the DG had wrongly proceeded on assumption that in every apartment agreement the exit option must be provided, which was not a requirement of law. On all these grounds the DG's report was objected on.

40. The DG's report was also objected to by the DTCP, who maintained that all the permissions to the Appellant were granted as per the applicable statutes and were in order. It was pointed out that proportionate share in the ownership depended upon the provisions of Haryana Apartment Ownership Act, 1983 and was not the sole discretion of the colonizer. It was denied that the building plans were approved in violation of the permissible FAR and density per acre.

41. Haryana Urban Development Authority (hereinafter 'HUDA') also objected to the DG's report and urged that it had no role to play in the whole process. It only provides master services like, water supply, sewerage system, drainage system and master roads for which external development charges are charged from the colonizer at the time of issuance of license. It was urged that HUDA was not involved in any decision making process towards the grant of sanction/approval of the building plans/layouts. It certified that all the sanctions of building plans and other related approvals were obtained by the Appellant directly from the DTCP as per the provisions of the Punjab Scheduled Roads and Controlled Areas Restriction of Unregulated Development Act, 1963, its rules and zoning plan framed there under and not under HUDA (Erection of Building) Regulations, 1979.

42. After giving due consideration to the allegations made in the information, the DG report, submission by the parties and analysis of experts relied upon by the parties, the CCI framed the following issues:—

Issue 1 : Whether the provisions of Competition Act, 2002 applied to the facts and circumstances of the instant case?

Issue 2 : What was the relevant market, in the context of section 4 read with section 2(r), section 19(5), section 19(6) and section 19(7) of the Competition Act, 2002?

Issue 3 : Whether the Appellant was dominant in the above relevant market, in the context of section 4 read with section 19(4) of the Competition Act?

Issue 4 : In case the Appellant was found to be dominant, was there any abuse of its dominant position in the relevant market?

43. It will be seen that there was no issue framed on the contravention of section 3 of the Act, on the basis of BOA/PPRWA assertion that the ABA was one-sided and anti-competitive as such.

44. Oral as well as the written arguments were presented before the CCI.

The BOA took serious exception to report by Jones Lang Lasalle (JLL) as well as report by Genesis relied upon by the Appellant and instead filed a report by QuBREX in support of the contentions. The BOA more or less relied on the D.G.'s report to submit that sale figures given by the DG were best way to calculate market share. It was argued that the comparative study was essential between Appellant and its nearest competitors. On that basis it was urged that no competitor came near to the market share of the Appellant. It was pointed out that the Appellant had declined to submit market share based on sales figure and instead had relied upon JLL Report, estimating market share based on non-standard metric of active stock. The BOA seriously took exception to the report by JLL as well as the report by Genesis and contended that the so called "active stock" could not be a parameter for assessing the strength of the Appellant. It was argued that both the reports did not represent the reality. The BOA urged that the Appellant had made several public statements in the documents such as Red Herring Prospectus, Annual Reports, quarterly presentations to the financial analysts etc. and those public statements were completely contrary to the statements made in the report by Genesis. The BOA relied on the admissions made in the Red Herring Prospectus and Annual Reports of the Appellant stating that the Appellant is a leading player in the relevant market. The BOA also relied on the track record, brand and preferential locations enjoyed by the Appellant. It was urged that the Appellant's combined strength in commercial as well as residential segments gave it additional advantage. It was further urged that the customers were trapped into buying and then were forced to pay money without securing any government approval. It was also urged that the contract was completely one sided inasmuch as it locked the customers who had already invested a huge amount and had no way out. It was pointed out that the Appellant was operating independent of its competitors and actually sets the agenda for rest of the market. The BOA relied on report of QuBREX-QuBit Real Estate exchange dated 08.05.2011 and also referred to the various policies of the Appellant including its idea of 'walk to work' and its dominance in respect of commercial as well as residential properties. The land holding of the Appellant particularly in Gurgaon of about 2500 acres was also relied on. The BOA also urged about the violation by the Appellant of FAR, super area, charges for parking as well as alleged delay of 24 months for 19 floors plan, extra floors, cancellation and forfeiture of money. Oral arguments were also addressed by the BOA, who asserted about the Appellant's dominant position and its abuse. Section 19(4) was also analyzed during the arguments. For that purpose reported decisions in the matter of *Shri Sitaram Sugar Company Ltd. v. Union of India*, (1990) 3 SCC 223 and *PTC India Ltd. v. Central Electricity Regulatory Commission*, (2010) 4 SCC 603 were relied upon. For the same purpose, it was pointed out during the oral arguments, that Appellant had claimed that it was developing the largest

township in Asia. In order to establish the dominant position of DLF the decision of *AKZO Chemie BV v. E.C. Commission* was relied upon. It was urged that the condition imposed in the ABA were most unfair and that the Appellant could not argue that it was general industry practice. A celebrated decision of the Supreme Court in the matter of *entral Inland Water Transport Corporation Ltd. v. Brojo Nath Ganguly*, (1986) 3 SCC 156 was relied upon and it was suggested that the parties had to be treated on an equal footing and with the same bargaining power. The principles stated in Chitty's contract were also relied upon. As regards the aspect of retrospectivity, it was submitted that the ABAs were still continuing though they were executed prior to 20.5.2009. The payments made there-under were also incomplete and as such those ABAs could have been looked into. As such, it was asserted that not only was the Appellant a dominant player in the market but was also abusing its dominance in every possible way.

45. These arguments were countered by the Appellant in every possible manner taking recourse as well as in written arguments.

46. Amongst the arguments on behalf of the Appellant, it was suggested that the data adopted in the report by QuBREX was incorrect. The methodology adopted in this report in deciding the market share was also questioned as being incorrect. It was pointed out that when a customer invests in a residential apartment, he not only looks at new launches, but also at comparable apartments available in the secondary market and therefore, such apartments become substitutable properties. It was pointed out that there were number of builders who had entered the market of NCR. It was made out that in respect of dominant position, the BOA had relied on certain documents like Red Herring Prospectus and interviews by the officials of the Appellant, and a mere assertion that the Appellant was the largest company in the real estate business, did not make it as a dominant player in the market. It was pointed out that the dominant position was to be determined in reference to the relevant market. It was pointed out that relevant market was not properly decided and Gurgaon alone could not be the relevant geographic market and instead, at least it should be the NCR. Serious arguments were addressed on this issue before the CCI. The Appellant also argued before the CCI on the nature of transaction and contended that there was distinction between transaction of sale of apartment, where the right, title and interest could be transferred only after the completion of construction and obtaining occupation certificate and till then the ownership and title remained with the builder, in this case with the Appellant. On the basis of this, it was contended that it could not be said that the Appellant was providing any service. It was urged that sale of an apartment could not be the sale of goods and section 4 of the Act more particularly sub-section (2) thereof related to purchase of 'good' or 'services'. It was, therefore, argued that the agreement in the nature of ABA was neither the sale of 'goods' nor was a 'service' and therefore, there was

no jurisdiction of the CCI in that respect. Various decided cases were also relied upon for showing that this sale could not be a 'service' within the meaning of the terms 'service' used in section 4. It was also pointed out that by laying information before the CCI, the BOA/PPRWA was trying to re-write the agreements, which were validly entered into way back in 2007. It was also pointed out that the allottees, that is members of BOA, continued with their agreements and now were seeking to get the terms of their agreements changed, which was not possible in law. It was also pointed out that no terms were imposed on the members of BOA and if at all, the entering into an agreement could not be said to be an imposition of the terms, that took place way back in 2007 and therefore, had nothing to do with section 4, which contemplated imposition of conditions, after the provision came on the anvil, that is after 20th May, 2009. It was also urged that no new condition was imposed after the crucial date of 20th May, 2009 and as such, the CCI could not have inquired in the agreement, since section 4 was not retrospective in any manner. It was pointed out that there was intense competition in the relevant market and large numbers of properties were being offered by competitors in the relevant market and as such the Appellant could not be held to be having dominant position in the relevant market. It was pointed out that merely taking into consideration of the land stock of the Appellant was of no consequence, since the information about the land stock of other developers in Gurgaon was not available or was not tried to be acquired. It was pointed out that the total developable area in Gurgaon came to be 45,000 acres and out of this land stock, the Appellant was merely holding about 1650 acres, which could hardly be said to be such as to provide dominant position to the Appellant. As has been said earlier, the Appellant argued mostly on the aspect of retrospectivity. Before us also the parties held a marathon debate and submitted loads of documents. Bulky written submissions have also been submitted by the parties. It is on these basis that we now proceed to decide the issues as under:—

Issue : Whether the provisions of Competition Act applied to the facts and circumstances of the instant case?

47. The applicability of the Act and its provisions to the present situation was excepted by the Appellant on two grounds, firstly, on the ground that section 4 of the Act, particularly sub-section (2)(a)(i) & (ii) thereof, applied only when a 'dominant enterprise' or 'group', as the case may be, directly or indirectly, imposed unfair or discriminatory price in purchase or sale of 'goods' or 'service'. It was very seriously urged that sale of an 'apartment', could not amount to 'goods'. For this reason, the definition in section 2(i) of the Act was relied upon, which suggests that the goods contemplated under section 4 of the Competition Act, are the goods as defined in Sale of Goods Act, 1930 and include-(a) products manufactured, processed or mined; (b) debentures, stocks and shares after allotment; (c) goods imported into

India. It was therefore submitted by the Appellant that an apartment could not amount to 'goods'. That left only the aspect of price for 'service'. It was urged that the ABA did not transfer interest or ownership in favour of the transferee, that is the allottees and therefore, what was being done by the Appellant, could not be viewed as a 'service' for the apartment owners, as the activity of construction of the apartment was not on behalf of the apartment owners and as such it could not be said to be a service. It was also pointed out during the debate that section 65(105)(zzzzu) of the Finance Act, 1994 came into effect only from 01.07.2010 and after that date only the construction/development activity, as the case may be, became a service. However, that could not be viewed as a service earlier, to the said provision of section 65 of the Finance Act, 1994 being brought on the statute book. Detailed submissions were made in this behalf, both by the learned senior advocate Shri Salve and Shri Narain. It was urged that if the title or ownership of the property was retained by the Appellant while constructing the apartment, it could not be said to be providing services to the apartment owners to earn his title or ownership only after the sale deed executed between the Appellant and flat purchaser. For this proposition, the judgment of the Gauhati High Court in the matter of *Magus Constructions Pvt. Ltd. v. UOI*, (2008) 15 VST 17 (Gauhati) was relied upon and more particularly a paragraph therein, which is as under:—

"6. A combined reading of the various clauses of the agreement for sale makes it abundantly clear that the transaction between the petitioners, on the one hand, and the flat purchaser, on the other, is that of purchase and sale of premises and not for carrying out any constructional activities on behalf of the prospective buyers. What the petitioner-company sells is, thus, the flat/premises and the entire transaction is nothing but sale and purchase of immovable property."

48. Shri Salve also brought to our notice a Circular No. 108/02/2009-ST dated 29.01.2009, wherein the Department of Revenue under the Ministry of Finance had come to a conclusion that the initial agreement between promoters, builders and developers and the ultimate owner is in the nature of agreement to sell. Such a case, as per the provisions of Transfer of Property Act, does not by itself create any interest in or charge on such property. The property remains under the ownership of the seller. It is only after the completion of the construction and full payment of the agreed sum that a sale deed is executed and only then the ownership of the property gets transferred to the ultimate owner. Finally, amendment to the definition of 'service' in the Finance Act for levying service tax with effect from 01.07.2010 by adding an explanation to clause (zzzzh) of section 65 (105) of the Finance Act was pressed into service. By that amendment a legal fiction was created by describing such transactions as 'service'. The said explanation relied upon is as under:—

"Section 65(105)-Taxable service means any service provided or to be

provided.

(zzzh) to any person, by any person, in relation to construction of complex.

Explanation.— For the purpose of this sub-clause, construction of a complex which is intended for sale, wholly or partly, by a builder or any person authorized by the builder before, during or after construction (except in cases for which no sum is received from or on behalf of the prospective buyer by the builder or a person authorized by the builder before the grant of completion certificate by the authority competent to issue such certificate under any law for the time being in force) shall be deemed to be service provided by the builder to the buyer.”

49. A very interesting argument was raised on this issue that if this legal fiction was brought into on or with effect from 01.07.2010, then certainly it was not a service, when the ABA was executed somewhere prior to 20th May, 2009. It was argued that no such fiction is to be read in the Act and that there was no service tax leviable on such transactions prior to the aforementioned amendment and therefore, the activity on the part of the Appellant for developing, building and constructing the apartment, could not be said to be a service. Reliance was placed in this behalf on *Bangalore Development Authority v. Syndicate Bank*, (2007) 6 SCC 711 in paragraph 20 explaining the judgment in *Lucknow Development Authority v. M.K. Gupta*, (1994) 1 SCC 243.

50. The CCI referred to the *Bangalore Development Authority v. Syndicate Bank* case cited (supra). It also referred to the *Lucknow Development Authority's* case cited (supra), which was later on explained in *Bangalore Development Authority's* case. The CCI quoted from the *Lucknow Development Authority's* judgment cited (supra) and came to the conclusion that the observations in that judgment were clear enough to suggest that such activity would amount to service. In that judgment the Hon'ble Supreme Court particularly had said:—

“similarly when a statutory authority develops lands or allots a site or constructs a house for the benefit of common man it is as much service as by a builder or a contractor. The one is contractual service and other is statutory service. If the service is defective or is not what was represented then it would be unfair trade practice as defined in the Act. Any defect in construction activity would be denial of comfort and service to a consumer. When possession of property is not delivered within stipulated period the delay so caused is denial of service. Such disputes or claims are not in respect of immovable property as argued but deficiency in rendering of service of particular standard, quality or grade”.

51. The CCI observed in para 12.11 and 12.12 that these observations and in particularly the decision in *Lucknow Development Authority* case cited (supra) was not overruled. On the other hand, this ratio was followed by the

Hon'ble Supreme Court in *Chandigarh Housing Board v. Avtar Singh*, (2010) 10 SCC 194. It is on this basis that the CCI came to the conclusion that the activity on the part of the Appellant amounted to service. The CCI also relied on the definition of section 2(u) of the Act.

52. It is to be seen that in the definition of service under the Act, if the service is made available to the potential users in connection with banking, communication, education, financing, insurance, chit funds, real estate, transport, storage, material treatment, processing, supply of electrical or other energy, boarding, lodging, entertainment, amusement, construction, repair, conveying of news or information etc., these services squarely fall within the ambit of term 'service'. We have examined the position very closely and in our view, the CCI was right in assuming the jurisdiction on the basis of the definition in section 2(u) of the Act. It must be mentioned here that the doubt expressed in *Bangalore Development Authority* case could not be made applicable particularly after the advent of the new definition of service in section 2(u) of the Act. It must be remembered that section 4 of the Act was not available in 2007, though the word 'service' was available in the statute. Therefore, 'service' as contemplated in section 4 must have a direct relation to section 2(u) of the Act, which undoubtedly provides for the 'service' of the nature which is being provided by the Appellant. Any services relating to the 'real estate' or 'construction' would be available and would be covered by section 4 of the Act. The argument that the title had not passed to the allottees on account of ABA and therefore, this could not be a service, must be straight away rejected, as, before ABA was executed there was an understanding between the allottees while applying for the allotment. It is at that time itself that the Appellant had chosen to charge huge amounts and but for such application, the Appellant would not have proceeded to construct. When the ABA was executed at that time, there was a commitment on the part of the Appellant to give a particular apartment to a particular allottee and it was to be constructed exactly as per the instructions of the allottees. If this was so, there was no question of the Appellant constructing something in its own interest irrespective of the interest of the allottees. The interest of the allottee was a paramount affair. The allottee could suggest some minor changes and the Appellant was bound to construct the apartment in that fashion and then to handover the same. It must also be remembered that the Appellant had charged huge amounts before and at the time of entering into the ABA. Therefore, it is really a travesty on the part of the Appellant to argue that it was not providing any service. If it was not providing any service, it was not bound to listen to the instructions of the allottees about the manner in which the final apartment was to be constructed including its interiors etc. In our opinion, the CCI was absolutely correct in holding that the Appellant was providing service relating to construction and it amounted to service in the sphere of real estate business and as such on that count the CCI had the

jurisdiction to consider the affect of this service in respect of breach of section 4 of the Act. The judgment of Gauhati High Court also cannot be relied upon by the Appellant as that decision did not consider the specific definition in section 2(u) of the Act and its mention in section 4 of the Act, which was not available in 2005.

53. In our opinion the reliance on the part of the Appellant on the opinion by the Board of Revenue, which we have quoted earlier as also amendment to section 65 of Finance Act is irrelevant for the purposes of present issue. We therefore, endorse the finding of the CCI in this behalf and reject the argument raised on behalf of the Appellant.

54. This leaves us with another question that is regarding the agreements being prior to 20th May, 2009 and the applicability of the Kingfisher case to the matter.

55. There is no question that the whole transactions whereby the allottees applied for the allotment and entered into ABA are prior to the relevant date of 20th May, 2009. There can also be no doubt and indeed we do not have any, that section 4 is not retrospective in operation. Though Shri Gaggar appearing on behalf of Informant/Respondent herein tried to argue that we should view the application of section 4 to be retrospective. We mention the argument only for the purpose of rejecting the same. There is absolutely nothing in the language of section 4, which even distinctly suggests its retrospective operation. A statute becomes retrospective only and only when the language of provision so provides. It is not for this Tribunal to say that section 4 should be viewed as having retrospective operation. Shri Gaggar tried to justify his contention on the basis that the parties have treated the agreement as still continuing and subsisting, even after coming into force of the Act, which prohibits an agreement of such nature, then such an agreement could not be said to be valid from the day of the coming into force of the agreement and the learned counsel further argued that if law cannot be applied to the existing agreement, the very purpose of the implementation of the public policy would be defeated. In short Shri Gaggar wholly relied upon the decision in the *Kingfisher's case* cited (supra). The CCI has also relied upon the Kingfisher's decision totally and completely and has devoted very little or no consideration on that judgment. In fact, this is also the argument advanced by Shri R. Khanna appearing in *Magnolia's case* for the MFOA. It will be interesting to see as to what is the requirement of section 4 of the Act and from what point of time it starts operating. Section 4(2)(a)(i) and (ii) is as under:—

“4(2) There shall be an abuse of dominant position under sub-section (1), if an enterprise or a group

(a) directly or indirectly, imposes unfair or discriminatory-

(i) condition in purchase or sale of goods or service; or

(ii) price in purchase of sale (including predatory price) of goods or

service.”

56. What is of the essence is, “direct or indirect imposition of unfair or discriminatory condition” in purchase of sale of goods or charging the price, which is in the nature of unfair or discriminatory for the sale of goods or service. Unless there is an imposition of unfair or discriminatory condition or price, as the case may be, there will be no breach of section 4(2)(a)(i) or 4 (2)(a)(ii) of the Act. There can be no dispute that the moment there is imposition of such condition, the mischief of section 4 of the Act will be attracted.

57. In this behalf when we see the application for allotment and the ABA, both are admittedly when section 4 of the Act was not available. These allottees actually went on the basis of the advertisements appearing and Red Herring Prospectus coming in public view and thereby applied for the allotment of the apartment, as the case may be. Some of the allottees also wanted and applied for more than one apartment and in pursuance of the application for allotment, paid huge amounts in favour of the Appellant and entered into the ABA. All this undoubtedly was voluntary without any element of coercion. The Appellant has a brand name and the property is situated in a locality which has the potential value and almost a certain possibility of it getting appreciated. If that is so, can it be said that these apartment buyers went on to sign the agreement only on account of the dominance of the Appellant? The answer is obviously in the negative. The concept of dominance was never there at that time. These apartment owners had their own calculations, chose to apply and pay huge amounts for booking the apartments and also ultimately executed the ABA. This could not be said therefore to be an imposition of any condition in the ABA or as the case may be an application for allotment. It was a plain and simple transaction between the persons who were interested in the apartment and the developers like the Appellant, who was developing the property. The element of dominance in the market, as the case may be and its abuse, were completely absent, as they were not on the statute book on those days. Therefore, it cannot be argued that all these allottees straightway chose to sign on the dotted lines in the agreement, even when the agreement had totally and completely one sided clauses against the allottees. The question of the clauses being one sided, totally in favour of Appellant and against the allottees would fall for consideration only and only if those agreements had actually been executed after 20th May, 2009. Then there was some scope for such questions, but the agreements were actually signed almost two or three years prior to that date.

58. The only reason why these agreements are being pressed into service is on the basis of the fact that these agreements are continuing agreements and are still in existence. This is being sought to be pressed into service on the basis of a High Court judgment in *Kingfisher's* case. It will therefore, be our task to examine the Kingfisher judgment.

59. The factual scenario in the aforesaid judgment was quite different than the present matter before us. In the Kingfisher's case an alliance was formed in between two airlines, i.e. Kingfisher Airlines and Jet Airways, with an idea to rationalize the rates and provide improved standards of service of wider choice of air travel options to the consumers. Notices were issued under the MRTP Act by the then MRTP Commission. An investigation was ordered and certain information was called from Kingfisher Airlines under section 11 of the MRTP Act, which was duly replied by Kingfisher. A further notice was issued seeking further information and that was also replied to. Several other letters were thereafter issued to Kingfisher Airlines. On 11th August, 2009, the Additional DG of CCI wrote a letter to Kingfisher Airlines on the basis of the information filed by one Shri M.P. Mehrotra. In that information, a newspaper report was relied upon, relating to the market share and the strength of fleet etc. On 4th August, 2009, the CCI had passed an order under section 26(1) of the Act, regarding its satisfaction that a prima-facie case existed and the matter required investigation. The aforementioned letter dated 11th August, 2009 was the result of that order. Thereafter, a writ petition was filed before the Bombay High Court, wherein it was urged that since the MRTP Commission was already seized of the matter in enquiry No. 172 of 2008, cognizance taken by the CCI was without jurisdiction. The petitioners also contended that section 3 and 4 of the Competition Act, 2002 under which the notice was sent, could not have retrospective effect, since the Act contained penal provisions. The petitioners, further contended that the Act came into force on 20th May, 2009 therefore, an alliance between Kingfisher and Jet Airways was saved and the same was beyond the purview of the provisions of section 3 and 4 of the Act. It was contended that no action as contemplated by section 4 of the Act, could be taken unless and until it was first established that there was an abuse of the dominant position by the group. Some other objections were also raised, like non-determination of the relevant geographic market and the relevant product market, without which the action could not have been taken by the CCI. This petition was opposed by the CCI, which contended that since no final order was passed, the whole petition was premature. It was pointed out that the CCI merely acted on the basis of its finding that there existed a prima-facie case of instituting an enquiry and/or investigation. In so far as the pendency before the MRTP Commission was concerned, it was urged that enquiry and the investigation had nothing to do with the present investigation and both the investigation were different and had no connection whatsoever with each other. It was denied specifically that there was necessity of determining the relevant market before ordering the investigation under section 4 of the Act.

60. The High Court noted that Shri M.P. Mehrotra had claimed to be a consumer of product and services provided by these Airlines and had alleged

that his interest was affected because of the cartelized behavior of these Airlines, which were acting in monopolistic manner to the disadvantage of consumers in general and were abusing their dominant position, which was also causing appreciable adverse effect on fair competition in India. It was urged that these two Airlines were acting in concert to fix prices and limiting or controlling supply through route rationalization in violation of sections 3 and 4 of the Act. The High Court also noted that an application was filed by Shri Mehrotra on 26.07.2009 in pursuance to which the CCI had passed an order on 04.08.2009.

61. It was contended before the Bombay High Court that:—

- (i) That the Competition Act could not have retrospective effect, since it contained a provision to punish and convict a person;
- (ii) That since the agreement was valid when entered into, it could not be rendered invalid applying the analogy of Article 20 of the Constitution of India;
- (iii) That the MRTTP Commission had already taken cognizance of the alliance and had decided not to take any action and therefore, for the same act second action would violate the provision of Article 21 of the Constitution of India;
- (iv) That CCI had no jurisdiction to go into constitutional validity of the Act; and
- (v) That since the Commission had not determined the relevant market first, it could not take action under sections 3 and 4 of the Act.

62. In paragraph 8 of its judgment the High Court observed as under:—

“The agreement prior to coming into force of the new Act was, therefore, certainly valid, for it was not in breach of any law or affected any law then existing. The question here is whether this agreement, which was valid until coming into force of the Act, would continue to be so valid even after the operation of the law. The parties as on today certainly propose to act upon that agreement. All acts done in pursuance of the agreement before the Act came into force would be valid and cannot be questioned. But if the parties want to perform certain things in pursuance of the agreement, which are now prohibited by law, would certainly be an illegality and such an agreement by its nature, therefore, would, from that time, be opposed to the public policy. We would say that the Act could have been treated as operating retrospectively, had the act rendered the agreement void ab initio and would render anything done pursuant to it as invalid. The Act does not say so. It is because the parties still want to act upon the agreement even after coming into force of the Act that difficulty arises. If the parties treat the agreement as still continuing and subsisting even after coming into force of the Act, which prohibits an agreement of such nature, such

an agreement cannot be said to be valid from the date of the coming into force of the Act. If the law cannot be applied to the existing agreement, the very purpose of the implementation of the public policy would be defeated. Any and every person may set up an agreement said to be entered into prior to the coming into force of the Act and then claim immunity from the application of the Act. Such thing would be absurd, illogical and illegal. The moment the Act comes into force, it brings into its sweep all existing agreements. This can be explained further by quoting the following example:" A and B enter into agreement of sale of land on 2/1/2008. It is agreed between them that sale-deed would be executed on or before 2/1/2009. Meanwhile, i.e. on 10/8/2008, the Government decides to impose a ban on transfer of the land and declares that any such transfer, if effected, shall be void. The question is, could the parties say that since their agreement being prior to Government putting a ban on transfer, their case is not covered by the ban? The answer has to be in the negative, as on the day the contract is sought to be completed, it is prohibited." Similar would be the result in the instant case."

63. It is on this reasoning that the Bombay High Court mainly dealt with the issue. A further reference was made in paragraph 9 by the Bombay High Court to a reported judgment of the Hon'ble Supreme Court in *R. Rajagopal Reddy v. Padmini Chandrasekharan*, (1995) 2 SCC 630 wherein the Hon'ble Supreme Court held that the transactions prior to the promulgation of Benami Transactions (Prohibition) Act, 1988 (hereinafter "Benami Act") were valid and the Act did not specifically rendered them void. The Hon'ble Supreme Court also held therein that the Benami Act prohibited the benami transaction as and from the date of the commencement of the Benami Act. It not only prohibited the benami transaction in present, but also prohibited a real owner from instituting a suit after coming into force of the Benami Act, claiming a declaration that he was the real owner of the property. Therefore, the Hon'ble Supreme Court held that the suits instituted prior to coming into force of the Benami Act were same. However, it was held that the Benami Act prohibited the person from instituting a suit after the Benami Act came into force, in respect of the transactions prior to the Benami Act.

64. Further in paragraph 10, the Bombay High Court relying on the decision of *R. Rajagopal Reddy* case cited (supra), expressed an opinion that "though the Competition Act is not retrospective, it would cover all the agreements covered by the Act though entered into prior to the commencement of the Act and sought to be acted upon".

65. We have deliberately quoted extensively from the Bombay High Court's judgment in order to display under what factual scenario the judgment was passed and the ratio decidendi of that judgment.

66. What is significant is that the Bombay High Court in the clearest

possible terms has held that all acts done in pursuance of the agreement before the Competition Act came into force would be valid and cannot be questioned. But if the parties want to perform certain acts in pursuance of the agreement, which are now prohibited by law it, would certainly be an illegality and such an agreement by its nature, therefore, would, from that time, be opposed to the public policy. In our opinion the Bombay High Court very specifically expressed that the agreements which took place between the Kingfisher and Jet Airways prior to 20th May, 2009 were all valid. The parties, however, continued with those agreements. Now the question is whether those agreements could be found fault with, once they have been validly entered into and were valid till 20th May, 2009. As a matter of fact, any provision in the Competition Act, does not declare such agreements to be illegal or void, which position is specifically accepted in the Bombay High Court judgment. If those agreements were valid, then there would be absolutely no justification on the part of the CCI to change the language of the agreement altogether. That would be re-writing of the agreement, which may not be possible. No provision in the Competition Act permits the re-writing of the agreements. The various clauses in the agreement, which have been held to be one sided by the CCI in the impugned order, were valid even as per the CCI. According to the CCI, the Bombay High Court judgment meant that those agreements and the clauses therein became illegal after the advent of the Competition Act and more particularly promulgation of section 3 and 4 of the Act. In our opinion that is not a correct reading of the Bombay High Court's order. The Bombay High court had very candidly stated that if any acts are to be made in pursuance of those agreements, those acts would be invalid and can be stopped by taking recourse to the provisions of competition law. We will have to, therefore, examine as to whether the CCI was right in directing the re-writing of the agreements. In our opinion, such approach would be wholly incorrect. If the DLF was doing something in pursuance of the agreement, which was contrary to the spirit of section 3 and 4 of the Act, then certainly the CCI could have taken an exception to those "acts", but not to the "clauses" of the agreement, which were valid.

67. There are other features also distinguishable from the present case. While in the Kingfisher judgment, the two original parties to the agreement wanted to continue the same, the third party who had no concern with the agreement spelt-out an imposition of unfair and discriminatory condition due to the possible anti-competitive effect of the agreement. However, in the present case the BOA are not a third party to the ABA, which wants to question the conditions. It is not as if these allottees want the ABA to be cancelled. During the debate, it was specifically asked as to whether the buyer/allottees wanted a complete recession of the ABA. The counsel very vociferously insisted that it was not the idea. The sole idea of the buyer/allottees is to get the ABA and the clauses therein modified. This

simply cannot be done on the basic principles of the Contract Act. The Competition Act nowhere provides for amending the agreement and rewriting the contracts, particularly when those agreements are prior and existing to the promulgation of sections 3 and 4 of the Act. This is a major difference in the factual scenario. The other major difference in the facts is that in the present case though the ABAs were being honoured till the advent of the Act, it was only thereafter that when the parties sought the modification of the clauses in the ABA. It is for this reason that the judgment in the Kingfisher case would not be apposite for the present controversy.

68. This angle at that point of time of the imposition was not considered in the Kingfisher case. As a matter of fact, the wording of section 4 of the Act did not ever fell for consideration in that matter, since the judgment is silent on the language of section 4 of the Act.

69. In the present case, the factual scenario is entirely different, as we have already made clear. Section 4 of the Act prohibits imposition of unfair or discriminatory conditions in the sale of goods or services. Any imposition, or the act after 20th May, 2009 could be validly inquired into by the CCI, as the language of section 4 of the Act is not retrospective, but prospective. Therefore, any tainted imposition after that date could be a subject matter of the inquiry, but it cannot be said that the entering into the agreement in the year 2006–07, as the case may be was an imposition after the Act. The continuation of the agreement after 20th May, 2009 by itself would not attract the mischief of the Competition Act, unless there was some act in pursuance of those clauses, which were not contemplated in the agreement and would, therefore, amount to an imposition of condition.

70. It must be remembered here that basically the complaint in the Kingfisher case was for breach of section 3 of the Act complaining of cartelization on the part of Kingfisher and Jet Airways and the subsequent effect of that agreement which would have created a dominant body and could have resulted in abusing its dominance. The agreement therefore was not by itself contemplated or viewed as being opposed to the spirit of section 4 of the Act. It was cartelization on the part of the two airlines, which was actually objected against. Again, as a result of this, the consumers started feeling the pinch thereof, after the promulgation of section 3 and 4 of the Act, therefore the agreement acted against the consumers and it was clearly an imposition of unfair or discriminatory conditions against the consumers within the language of section 4 of the Act. However, that was only a result of the agreement, which itself was bad according to the Informant as it gave birth to the cartelization in between the two airlines, which had appreciable adverse effect on the competition. Therefore, the observations made by the Bombay High Court, particularly in para 10 of its judgment have to be read in the context thereof and not de-

hoars the context. When the Bombay High Court said that though the Competition Act is not retrospective it could cover all the agreements covered by the Act, though entered into prior to the commencement of the Competition Act and sought to be now acted upon, would have to be read in the backdrop of the facts of the case. It does not mean that all such agreements which are of the continuous nature would ipso-facto be open for an inquiry by the CCI.

71. If that interpretation is accepted, then a flood gate of litigation would be open and all those parties which had validly entered into agreements, but are not happy, would rush to the CCI creating an unprecedented and unintended situation. Such cannot be the interpretation of the Act. What is prohibited, is the imposition under section 4 of the Act. Since we are dealing only with section 4 of the Act in this judgment, we will have to be specific in respect of the factual findings and it would have to be found whether there has been an imposition of unfair or discriminatory conditions for the sale of service. If that imposition is post 20th May, 2009, it would certainly attract the provisions of the Act, but if it is prior, then it would not amount to imposition at all. The parties would then have to be governed under the agreement itself. For these reasons, we do not approve of the course taken by the CCI, in directing the ABA to be re-written.

72. While deciding Issue No. 4 in the impugned order, the CCI found 16 such clauses and also some important instructions in the ABA and found fault with the same. All these clauses were covered in paragraph 12.90 of the impugned order, while the instructions were covered in paragraph 12.91 of the order. The CCI found fault with the provision that the buyers/allottee had to pay almost 35% of the consideration amount within twenty seven months of booking and in almost all the cases, the bulk of that amount was paid even before entering into the ABA. The CCI also found fault that the Appellant had provided stringent time-line for payment of the agreed amount, there was no time-line specified for the delivery of possession by the Appellant and that the ABA was sent by the Appellant for signing much after the initial payment was made by the allottees. According to the CCI, this amounted to the buyer/allottee being captured with no free exit option without even being aware of the strict terms and conditions, which was being imposed through the ABA. The CCI made comments on the high switching cost being destructive of the choice on the part of the allottee. In paragraph 12.95, the following six factors were specifically noted by the CCI:—

- (i) Commencement of project without sanction/approval of the projects
- (ii) Increase in number of floors mid-way
- (iii) Increasing of Floor Area Ratio (FAR) and Density Per Acre (DPA)
- (iv) Inordinate delay in completion and possession
- (v) Forfeiture of amounts

(vi) Clauses of agreement are heavily biased in favour of DLF Ltd. and against the consumers

73. Ultimately, the CCI in paragraph 12.104 of the impugned order noted that the nature of the clauses mentioned above and conduct were blatantly unfair and even exploitative. This of course was viewed as a result of the dominant position of the Appellant, while writing the finding in respect of the breach of section 4(2)(a)(i) of the Act. In our opinion, the approach by the CCI in examining these clauses in Issue No. 4 is a serious error. We will deal with this aspect in the latter part of the judgment, when we deal with the appeals filed by the Appellant against the subsequent orders passed by the CCI suggesting the ideal clauses in the ABA, but suffice it to say at this juncture, that the CCI could not have examined all these clauses, which were valid at the time when the ABA was enacted in December 2006–2007 and viewed the abuse on the part of the Appellant on that count alone. We have already shown that both sections 3 and 4 of the Act were not available on the day when these agreements were executed. We do not agree with the finding of the CCI and we reject the argument that the CCI could have entered into an inquiry into these clauses on the basis of Kingfisher judgment, given by the Bombay High Court.

74. There is one more reason and perhaps a stronger one, as to why we are taking the view that the CCI could not have directed the modification of the ABA. The power to modify agreements lies under section 27(d) of the Competition Act. However, the opening words of section 27 of the Act do show a definite direction towards its true interpretation. The words are:—

“Where after inquiry the Commission finds that any agreement referred to in section 3 or action of an enterprise in a dominant position, is in contravention of section 3 or section 4, as the case may be, it may pass all or any of the following orders, namely:—

- | | | |
|---------|-----|-----|
| (a) xxx | xxx | xxx |
| (b) xxx | xxx | xxx |
| (c) xxx | xxx | xxx |

(d) direct that the agreements shall stand modified to the extent and in the manner as may be specified in the order by the Commission;”

This suggests that only those agreements which are covered by section 3 of the Act and which have been found to be in contravention of section 3 of the Act can be ordered to be modified under section 27(d) of the Act. When we see the impugned order of the CCI, we do not see any such finding that the agreements in 2006 were in any manner so as to contravene any of the provisions of section 3 of the Act. If that is not so then such agreements could not have been ordered to be modified. Shri Gaggar and the other learned counsel appearing on behalf of the buyers/allottees argued that we should read that the agreement should be in contravention of section 3 or section 4 of the Act, which is not possible in the facts of the present case.

Section 27 speaks about “action” when it speaks about contravention of section 4. In the present case we have already shown that “imposition” referred to in section 4(2)(a) had to be “after” 20.5.2009 and could not be as a result of domination of appellant as section 4 was not available on the day of execution of agreement. The initial wording clearly means that the opening words of section 27 of the Act refers to-(i) the contravention of section 3 by an agreement; and (ii) action of the enterprise in a dominant position. In the present case, we would have to read the first part of section 27 of the Act starting from the words ‘where after’ and ending with the words ‘section 3’ along with the clause ‘is in contravention of section 3’. The subsequent part of section 27 of the Act starting with the words ‘or action of enterprise in a dominant position’ would have to be made applicable to section 4 of the Act and that is not possible in the present case, as the agreements are in 2006/2007. This is all the more so because of the subsequent words ‘as the case may be’. Therefore, it is clear that agreements which are in contravention of section 3 of the Act could be modified. The CCI under section 27(a) of the Act can direct the total discontinuance of the agreements and also injunct the party concerned not to re-enter such agreement (Respondent do not want the total discontinuance of the agreement. They only want modification of some clauses). In addition, it can then direct that the agreements would stand modified and that would be under section 27(d) of the Act. Insofar as the action in contravention of section 4 of the Act is concerned, the CCI can direct the concerned guilty party to discontinue its abuse of dominant position. In addition to this, the CCI would have power under section 27(b) of the Act to impose penalty. The learned counsel on behalf of the buyers/allottees urged that the CCI could pass such other order or issue such directions as it may deem fit under section 27(g) of the Act. We do not think that for modification of the agreements, as has been ordered by the CCI, this clause can be made available. It is an established canon of interpretation that where there is a specific provision available then a general provision can be taken recourse to. For this reason also we hold that the direction about the modification was not possible in the peculiar facts of this case. We have carefully examined the order and we again say even at the cost of repetition that the agreements concerned were not found to be in contravention of section 3 of the Act.

75. The CCI has only booked the Appellant for contravention of section 4 of the Act on account of the concerned agreements being one sided. Of course, the CCI has also booked the Appellant for contravention of section 4 of the Act on some other grounds, which we will discuss in the latter part of this judgment, but for the reasons stated earlier, there could not be any imposition by way of the ABA, particularly because the ABA themselves were in 2006/2007. We have already rejected the argument of Shri Gaggar, that since these ABAs were still being acted upon by both the parties, we must

hold that the imposition continued even after the advent of section 3 and section 4 of the Act on the statute book. We have already rejected this argument, which was solely based upon the ratio in Kingfisher's judgment by Bombay High Court cited (*supra*). In view of this, we cannot find fault with the CCI finding the Appellant for breach of section 4 of the Act, particularly on account of the various clauses in the ABA, which ABA themselves were executed when section 4 was not available.

76. We therefore, conclude that the CCI had the jurisdiction, but that is not the be-all and end-all of the matter. Since the buyer/allottees have alleged breach of section 4 of the Act, not only on account of the various clauses in the ABA, but also on some other counts. In respect of all the three residential apartments namely-Belaire, Park Place and Magnolia, the buyers/allottees complained of imposition of unfair and discriminatory conditions by the action of the Appellant against themselves and this imposition was stated to be after 20th May, 2009. If that is so, then the CCI certainly has the duty and jurisdiction to take into account such impositions. Therefore, even if we do not find any justification on the part of CCI to look into and consider the ABAs, which were dated way back in 2006/2007, we do feel that the complaints about the breach of section 4 of the Act could be and were rightly entertained by the CCI, particularly of those impositions, which were post 20th May, 2009.

77. We have already expressed earlier and do express even at the cost of repetition that entering into the so called one sided ABA in 2006/2007 and putting the signatures on the so called dotted lines, could not amount to breach of section 4 of the Act. Firstly, because those ABAs were voluntarily executed. In some instances, the prospective buyers enthusiastically waited for entering into the ABA. In all the cases, these prospective buyers had to cough out substantial amount of money even to get registered. If these were acts voluntary conducted, the continuation of such ABA after 20th May, 2009, could not be said to be an imposition. An imposition has an element of compulsion. Indeed no such compulsion could be and was argued on the part of the buyers/allottees. Secondly, the Appellant had given advertisement for all the three residential apartments and finding the tremendous potential of the location in respect of future price rise, the apartment owners undoubtedly competed with each other to get themselves registered and latter on entered into an ABA. Therefore, on this count at least, there was no scope to hold that merely because the apartment owners had entered into an agreement and those agreements had some onerous clauses against the apartment owners, there was a breach of section 4 particularly section 4(2)(a). On the basis of this reasoning, we are of the opinion that CCI was well justified in entertaining the information particularly because the facts and circumstances prevailing did justify the action on the part of CCI. We accordingly conclude Issue No. 1 against the

Appellant and in favour of the apartment buyer owners.

78. Before we proceed further with the judgment, it will be our task to decide, the three issues namely:—

- (i) What is the relevant market?
- (ii) Whether the Appellant had a dominant position?
- (iii) Whether the Appellant abused its dominant position?

Issue : What is the relevant market?

79. The CCI while determining the relevant market, rightly went into considering the relevant product market and the relevant geographic market. Particularly in the present matter the CCI came to the conclusion that the market was for “services” of developer/builder in respect of high end residential accommodation in Gurgaon. In the earlier paragraphs of our judgment we have already accepted the correctness of finding on the part of CCI that what was being offered by the Appellant, was a service.

Taking recourse to the definition of term ‘service’ we have already held that the Appellant was offering services. In this regard, the argument by the Appellant that this could not amount to a service has been rejected by us in the foregoing paragraphs.

80. In that view, we will now examine the nature of services offered by the Appellant. A lengthy debate was raised before us by Shri Salve that the CCI has wrongly held that this service was in respect of the “high-end” residential accommodation in Gurgaon”. It was argued that the term “high end residential accommodation was extremely vague and therefore, the CCI had erred in relying upon the market of services in respect of “high-end” residential accommodation. The DG in his report had used the term “high-end residential accommodation”. The CCI agreed that there could be no hard and fast criteria for determining concepts like “luxury” or “high-end”. However, the CCI found that there was certainly a difference between luxurious or high-end residential accommodation on one hand and economic or low-end residential units on the other. The CCI went on to suggest that the term “high-end” was not a function of size alone and in fact a complex mix of factors such as size, reputation of the location, characteristics of neighbours, quality of constructions etc. played a role. The CCI was undoubtedly right in not restricting itself only to function of the size alone, but considered the concept on a broader scale of including various other factors. The CCI also compared the residential accommodation meant for lower income group, middle income group and high income group offered by public sector builders, such as Delhi Development Authority (DDA) and Ghaziabad Development Authority (GDA) etc. The CCI came to the conclusion that a small but significant non-transitory increase in price of a unit in one category, would not make the customer shift to another category. For reaching this conclusion, the CCI also considered the SSNIP test. The CCI then went on to comment that the residential accommodation

constructed by public sector builders like DDA and GDA etc., were not to be treated as a “high-end” or “luxury” accommodation. Here the CCI is undoubtedly right as the main objective of the public sector builders like DDA or GDA is to offer residential accommodation to the general public at affordable prices. Undoubtedly, these accommodations also have the consideration of the location, but they cannot be said to be “luxury” or “high-end” residential units. The CCI observed that the apartment costing to Rs. 2-2.5 crores, (in 2006–2007 would be a “high-end” apartment in the Indian socio-economic reality. The CCI then went on to consider the features of residential accommodation provided by the Appellant in the instant case. The CCI noted that various facilities like schools, shops, commercial spaces, club, dispensary, health center, sports and recreational facilities were being offered by the Appellant. Reliance was given by the CCI on the information in the public domain through means of newspaper ads, websites of property dealers etc. to reach this conclusion. We feel that this is quite a reasonable approach. The CCI also considered the report by JLLS and GENESIS submitted by DLF, as also QuBREX report submitted by the buyers/allottees. The first two reports allegedly suggested that the price of Rs. 4000 per square feet as the floor price, would justify an apartment as a “luxury” apartment, whereas the QuBREX report suggested that the price of Rs. 7000 per square feet should justify the said apartments as a “luxury” apartment. Obviously, the price range suggested by QuBREX would shorten the market. In our opinion, a “luxury” apartment has to be differentiated from an ordinary apartment. It is a matter of common knowledge that residents living in ordinary apartments do not have such facilities like-club, dispensary, health centre, swimming pool gymnasium etc. at least when we look at the residential accommodations created by DDA or GDA. Though undoubtedly the public sector builders have the best of locations for building residential accommodations. In our opinion, however, this factor of additional facilities being made available to high-end luxury apartments not only differentiates them from an ordinary housing scheme of the private builders, but such luxury apartments do stand on their own separate distinctively higher pedestal. There can be no doubt that where such facilities are available to the apartment owners, the cost is higher for the simple reason that in order to provide such facilities like schools, shops, commercial spaces, common community center etc. available, much more land is required. Therefore, where the builders offer all these facilities, either free or combined with the purchase of an apartment, it would constitute a separate and distinct market from the ordinary market of residential accommodation. We find that in Belaire, Park Place and Magnolia these facilities are in abundance. The CCI has also taken into consideration the aspect of investment. Undoubtedly, when such facilities come along with the apartment, it fetches more value by way of resale and therefore, such apartments can also be looked at as ways of investment by those who have

sufficiently deep pockets. Of course the same factor of investment would be applicable even to the ordinary apartments, particularly in these days of dearth of accommodation, particularly in the mega cities like Delhi. However, that by itself may not be a differentiating factor, but along with various other factors like good and substantial facilities, which make the life of an apartment owner much more comfortable and luxurious, such apartments as covered in Belaire, Park Place and Magnolia, would certainly constitute as a separate market.

81. The CCI has also considered the secondary market. We have seen the order by CCI very scrupulously and we are satisfied that the CCI has actually considered all the possible factors while deciding that this was a market for services in relation to “high-end” (Luxury) residential accommodation.

82. An argument was raised by the Appellant that the CCI had not considered material to show that the purpose of investment was mainly for better ‘returns’ and not confined to ‘own residence’. Our attention was invited in this regard to a table, wherein some comparative percentage was shown for resale or rented out flats. The table is as follows:—

S. No.	Name of Residential Building	Total No of Flats	No. of flats still with original allottees	No. of flats Resold	No. of flats rented out	Total no. of flats resold or rented	% of flats purchased for resale or renting
1.	Westend Heights	368	144	224	96	320	87%
2.	Icon	364	151	213	94	307	84%
3.	Pinnacle	280	154	126	97	223	80%
4.	Royalton	75	33	42	16	58	77%
	Grand Total	1087	482	605	303	908	85 %

From this table it was shown that large number of flats which were purchased were either sold or rented and therefore the idea of purchasing a flat for own-residence and considering the various facilities available with it was irrelevant. In short, the contention was that the various facilities could not be looked into as it was not necessary that a person would purchase a flat only for his own residence. The argument is undoubtedly attractive but lacks merit. Even if we consider the total number of apartments, which is 1087, it will be seen that more than 40% of the apartments are with the original allottees. It is undoubtedly shown that about 60% of the flats were resold or about 30% of the total number of flats were rented, but in our opinion that would not be a relevant consideration as there could be number of reasons for reselling, not merely amounting to investment for better

returns. So also there can be number of other reasons for renting the apartments. For example, if the apartment was purchased by a person, who was transferred out, what would be the justification in letting the flat lying vacant? In our opinion, this argument for buying the apartment for investment therefore, has to be rejected. There could be several reasons why the apartment owner would rent out or sell his apartment. This could not be a consideration for deciding the issue of the relevant market. The Appellant also relied on a survey and showed that about 56% of the occupied apartments were rented out. From this survey, it was urged that if it was so, then the apartments were more or less purchased by way of an investment or for getting better returns. We firstly refuse to accept the correctness of this survey, dealing with 8203 flats. We do not know and nobody does as to where all these building are situated, what is their geographical importance, whether they are having such facilities and as to what is their value. It would be too broad an argument to be accepted that while purchasing an apartment, in the buildings like Belaire, Park Place and Magnolia, the consideration would not be the various facilities attached to such flats and thereby giving them a color of high-end luxury flats and the only consideration would be either the investment or the possibility of selling the same. We reject the argument in this behalf. It was then tried to be argued before us that the major reason why such apartments are purchased, are for investment or for better returns, even if those flats are residential flats. On that basis, it was tried to be urged that the relevant geographic market could not be restricted to Gurgaon, but it should be extended at least to NCR. We now propose to examine that aspect.

83. However, before that we must say that the finding of the CCI that the product market was that of service of developer/builder in respect of 'high-end' or as the case may be 'luxury' residential accommodation, is a correct finding. We confirm that finding. Now we go on to decide the 'geographic market'. According to the Appellant the said market had to be at least the area of NCR, which would include Gurgaon, Dwarka NOIDA etc. This was an obvious argument in view of the fact that according to the reports submitted by the Appellant before CCI, if the market was widened, then the Appellant would not possibly be in a dominant position, considering the number of apartments being built by the Appellant. Needless to mention the CCI has found the said geographic market to be Gurgaon. For reaching that conclusion the CCI considered consumer preference, as also other factors such as local specification requirements as the determining factors covered by section 19(6) of the Act. The CCI observed that a decision to purchase a high-end apartment in Gurgaon is not easily substitutable by a decision to purchase similar such apartment in any other geographic location. It was also observed that Gurgaon was known to possess certain unique geographical characteristics such as its proximity to Delhi, proximity to Airports, golf courses, world class malls and a distinct brand image as a

destination for upwardly mobile families. The CCI then considered this aspect from the angle of the need for staying in Gurgaon. The CCI observed that a person working in NOIDA was unlikely to purchase a luxury apartment in Gurgaon, as he would never intend to settle there. It was also noted by the CCI that if investment was the only idea, then a person living in NOIDA or Dwarka could invest there itself as there were number of opportunities available for such investments. It was made clear by the CCI that it was not looking at the concerns of speculators, but of citizens buying a residential property out of their hard earned money or even by taking housing loans. It was therefore, observed that a small 5% increase in the price of an apartment in Gurgaon, would not make a person shift his preference to Ghaziabad, Bahadurgarh or Faridabad or the peripheries of Delhi or even Delhi in a vast majority of cases. In that view, the CCI held that the geographic market was Gurgaon. We, more or less agree with this finding.

84. However, Shri Salve very seriously urged before us that the relevant geographic market should at least be the NCR. This argument was obviously based on the concept of investment. Shri Salve urged that Gurgaon was costlier as compared to Greater Noida and therefore an investment in Noida was likely to yield higher profit in a longer term. We have already made it clear that we agree with the observation of the CCI that it was not concerned much with the speculators but was concerned with the citizens, who were looking for residential housing accommodation in the preferred place. A very heavy reliance was placed on the report of GENESIS and the affidavits of the brokers. In their affidavit, according to Shri Salve, in para-52 of the GENESIS report there is a consideration for investment buyers and it is reiterated that investors are likely to see new residential investment of the same type across at least NCR as substitutable market depending on returns. In that paragraph, it is pointed out that for Park Place and Belaire a large proportion of units had been booked by Indian buyers, outside of Gurgaon, but within NCR. It was tried to be pressed that out of the total of 1701 flats 592 there were buyers from Gurgaon, while 960 were from NCR, but not Gurgaon and 149 were buyers from outside NCR. It was therefore, urged that as many as 56.4% buyers were from NCR and not from Gurgaon. On the basis of this calculation alone by GENESIS in their report, it was argued that the investment buyers could indeed constrain themselves to region such as NCR, but would not focus as narrowly as Gurgaon. Therefore, the residential market in NCR was not substitutable to the residential accommodation, Gurgaon, particularly because if the buyer expected the same return on investment from the residential property in NCR, then there was no question in the buyer insisting to purchase the residential property only from Gurgaon. We have already clarified that we are not impressed by Shri Salve's argument about the investors. Ordinarily, for citizen basic need is food, other amenities of life and a property to reside, as that creates a sense of security in his mind. If that is so, it will be futile to examine the

question only from the angle of investors. Indian housing sector is not a market for investment for investors necessarily. The idea of investment only comes secondary and incidentally to the idea of having a roof on one's head. It is only when a person has substantial amount of money then the person thinks of investment, but again investment in housing is not the only investment known to the Indian citizens. There are many other sectors/or investment, which give much better returns than investing in housing. Therefore, at the cost of repetition, we consider that it would not be proper to consider the question from the investor's angle. Shri Salve also relied on an affidavit of a broker. We have nothing more to say about that affidavit, when it says, that even a buyer purchases properties for investment, they do not necessarily restrict themselves to the area of Gurgaon, but are also prepared to invest in NCR, including NOIDA, Greater NOIDA, Faridabad and Ghaziabad etc. In the first place, this affidavit has no evidentiary value since it is obviously from an interested broker. Secondly, the opinion of a broker cannot be-all and end-all of the matter. We are therefore, not much impressed by the affidavit of a broker. Shri Salve also referred to the SSNIP test and argued that for knowing the correct picture of investors in residential properties, the customers have to be kept in view, who fall in the major category of investors, who look for investing for better returns. According to him, the test has to be applied as to whether upon increase in price by about 10% or such other increase in the context of residential properties, whether the investor would switch over to other residential property available in the nearby area or to residential property of lower value. According to him unless such a test is held, it would not be possible to fix the relevant geographic market. In our view, there is no necessity of conducting any such SSNIP test, at least for fixing the geographical market. Shri Gagar questioned the correctness of SSNIP test and its ultimate reliability. He argued very seriously that it has no more remained the relevant test and European courts have almost abandoned the same. We do not want to go on the SSNIP test as in our opinion the housing market is not necessarily connected only to the investment market. Investment market is a part of the housing market. As we have already pointed out that the investment is not only through the housing, but there are other number of areas meant for investment, such as securities, share markets and loans. If that is so, we need not go on to concentrate only on investment market and investors. When we speak of the housing, we would speak about the general public and its notions about the need of a shelter at the time of rainy day or during the old age. That is the basic and the first requirement of an ordinary citizen, who goes in for the housing. Housing need comes, when a person otherwise settles himself in life. When he yearns for more security, he turns towards housing and the basic idea is a residence either his residence or if it is not possible, he may even rent it out for residence. But residential housing is not necessarily connected with the investment because the

investor can invest in the non-residential properties and they do actually invest in the non-residential properties. In fact, instead of investing in residential properties, it is always considered wiser to invest in the non-residential properties, such as shop, malls, godowns etc., where only a part of the construction activity is to be considered like the residential premises, there will be no point in creating a further category of investors only in the residential housing. That will be only a part of the investors market, who invests in the real estate. Therefore, in our opinion, the CCI was correct in holding that the relevant geographic market was Gurgaon.

85. A person belonging to Haryana or wanting to be near his business place, would always like to stick to such place, which is accessible easily. Off late Gurgaon is a business center. It is a developed place. The biggest advantage that Gurgaon enjoys is its proximity to Delhi, but without the disadvantages of humdrum life of Delhi. It does not have to be governed by the comparatively strict law, which are applicable to parts of in Delhi regarding the activity of construction etc. The applicable laws for this construction in Gurgaon when compared to construction laws applicable in Delhi are not that strict. We have seen the stand taken by HUDA as also the Haryana Government, particularly when we see the law regarding licenses for the properties, there is much more scope available to the builder than what is available in Delhi for appropriating the construction as per his requirements. For example, the rules regarding licenses for purchasing land and its development, consideration for density of population, consideration for height of the building and most importantly the wide discretion and scope that the builder has in developing such properties, are much more relaxed as compared to other areas and therefore, we have no doubt in our mind that the CCI was correct in holding the relevant geographic market as Gurgaon.

Issue : Whether the Appellant is dominant in the relevant market?

86. The next issue is about the dominance of the Appellant-DLF in the relevant market. While considering this question, the CCI heavily relied on section 19(4) of the Act. It has correctly found that under section 4 of the Act a dominant position or as the case may be a position of strength would be of an enterprise which has the ability to operate independently of competitive forces prevailing in the relevant market or when it is in a position to affect its competitors or consumers or the relevant market in its favour. It then observed that market share was not only the criteria for coming to the conclusion regarding the dominance of an enterprise. Section 19(4) of the Act gives a definite guidance wherein it enumerates a number of factors which are liable to be taken into consideration for coming to the conclusion of dominance. The CCI observed that the spectrum of factors for deciding the question of dominance is wide and therefore it was necessary to take holistic and pragmatic approach while deciding the question of dominance. It observed that a “dominant position” may be acquired due to

several factors even outside the “relevant market” but, “for the purpose of” section 4 of the Act, this “position of strength” must give the enterprise an ability to operate independently of competitive forces” in the relevant market or should have the ability to “affect its competitors or consumers or the relevant market in its favour”. The CCI also referred to factors like government policy or regulations, demographic factors and natural conditions of land availability etc. The CCI noted that various analysis reports were submitted by the Appellant to support their contention from the experts such as Jones La Salle Meghraj (JLLM), ICICI Direct Analyst, RBS (The Royal Bank of Scotland) Analyst, Knight Frank, Goldman Sachs, Prop Equity and QuBREX. It was argued by the Appellant that there were number of competitors in Gurgaon who were engaged in the business of real estate and more particularly in the construction of residential accommodation. It was urged by the Appellant that it could not be said that the market share of the Appellant was the highest since the sales figure of different developers were not available. The report of the DG was criticized on the ground that the DG had arrived on a finding regarding size and turn over on the basis of figures which related to commercial as well as their retail business. It was urged that these figures were not confined only to the aforesaid relevant market. It was also urged that the customer could not be said to be dependent on the Appellant when he desires to purchase a residential property. It was also pointed out that there were no entry barriers as number of new developers had entered into the market to offer residential apartments including luxury apartments. It was also argued that there was no question of countervailing buying power. On the basis of this argument, that size of market even for the residential properties was very large in very large in Northern India, NCR and even in Gurgaon. Reliance was also placed on Herfindahl Index. While considering this question, the CCI seemed to have devoted very deep attention and has dealt with the question in an exhaustive manner. The CCI criticized the reports and particularly the comments made in the JLLM Report on the basis that it was based on current turn over and active stock. According to the CCI the so called active stock which signifies current trading stock was irrelevant as it reveals nothing about the volumes already sold in the recent past. The CCI viewed the data collected by the DG as objective and unbiased, wherein the DG relied on CMIE data which was found to be objective and taken from public domain. The CCI viewed CMIE as an independent economic research and analysis organization and found that considerable part of its database and analysis was available in public domain. It also referred that many corporate and some Government agencies did rely on CMIE data and hence it preferred the CMIE data to the data provided by the JLL report commissioned by the Appellant. It also commented on the fact that the Appellant did not submit the sales data in relation to relevant market namely Gurgaon. It therefore rejected the contention of the Appellant that it

did not have a position of strength in the relevant market. According to the CCI this claim remained unsubstantiated. We more or the less agree with this observation of the CCI in respect of its preference to the CMIE data as compared to JLL report which the Appellant commissioned. The CCI held that the two commonly used measures for defining market share in the real estate business were-(a) sales figures (value terms) and (b) active stock (volume terms). The CCI accepted the finding of the DG which was based on the sales figures for measuring dominance. The CCI also referred to a finding of the DG that market share calculated on the basis of data from CMIE applied to all companies operating all over India and the same data established that the Appellant had the highest market share which was not even comparable to the nearest competitor which was much below. It referred to the observation in the DG report that even after granting margin of 5%-10% on account of other, minor players not covered in CMIE data, data and sampling error etc., the market share of the DLF among the companies operating in Gurgaon exceeded 55%. The DG had in fact analysed total sales figure of 82 companies from CMIE database, who were engaged in real estate residential business and who were not only operating in Gurgaon but also in other places in India and had come to the conclusion that the superior market share of the Appellant was about 44%. For the year 2009–2010 also, the DG showed that the market share of the Appellant in the relevant market was about 50%. We have seen the DG report very carefully. In our opinion, there can be no dispute about the correctness of the said report.

87. The DG also compared the market share of the Appellant with Unitech another giant in the real estate business who was a competitor of the Appellant and it was found that the market share of Appellant was more than double as compared to the market share of Unitech. On that count also, the Appellant was held by the DG to be a dominant player in the relevant market. While considering the JLL study which relied more or the less on active stock concept, the CCI held that the sales data used by the Appellant in this context was unauthenticated. The CCI also considered the criticism on CMIE data leveled by the Appellant particularly in regard to the sales figures. The CCI found that the market shares worked out with reference to sales could be different, depending on whether the sales of a company were computed in volume terms or value terms. It was observed that:—

“Further the use of different systems of accounting could also lead to different results. These issues actually arise from the data limitations, which are inevitable in the real estate business, as there exist no official sectoral statistical estimates applicable for the entire country.”

88. In view of the CMIE data being most reliable the CCI chose to rely on CMIE data for concluding that the Appellant had a dominant position in the relevant market at least in terms of Section 19(4)(a) of the Act. The CCI then referred to the language and particularly led stress on the words “due

regard of to all or any of the following factors%.” while considering the aspect of section 19(4)(b) and (c) of the Act the CCI observed that:—

“It is the overall size and resources of an enterprise or the overall importance of a competitor that has to be compared to see comparative position of strength and not the limited manifestation of that strength in a particular product or geographic market.”

The CCI further referred to the fact that the Appellant has 82.7% stake in DLF Home Developers Limited and also a 100% stake in DLF New Gurgaon Home Developers Private Ltd. as per the Appellant's annual report which was relied by the CCI. Hence the CCI came to the conclusion that the activities of these group companies also could be relied upon for measuring the strength of the Appellant.

89. The CCI referred to the DG report which analysed CMIE database in respect of about 118 real estate companies across India and found that group has about 69% of gross fixed assets and 45% of capital employed. The CCI also took note of the land bank of Appellant, information about which was referred to in the Red Hearing Prospectus issued by Appellant. Further from the Red Hearing Prospectus, the CCI noted that in 2007 the DLF group had a total land bank of 10,225 acres out of which “49% was located in Gurgaon alone.” A reference was also made to the Forbes' list of global 2000 companies published for the year 2010 which included the name of the Appellant, which was the only Indian real estate company at a significant position of 923. Observation in Business Today in its May, 2009 issue was also referred to where it was shown that the Appellant has at 14th position among top 100 companies of India and there was no other real estate company in the list. The CCI also referred to the income and profit after tax wherein the Appellant had a distinct advantage over other real estate players. The DG observed that the Appellant had about 41% share as far as net income was concerned and about 78% shares as far as Profit after Tax (PAT) was concerned.

90. The DG observed that figures of market capitalization of top 100 companies were also taken in to account where the Appellant held 23rd position as against its nearest competitor Unitech which held 68th position in terms of market capitalization. It was also observed that similar differences existed in terms of net income, profit after tax (PAT), gross fixed assets, cash profits, net worth and capital employed. On this basis also the Appellant was found to be far ahead from its competitor Unitech and also other big players like Emmar, Parshvanath and Omaxe group. In para 12.67 of the impugned order the CCI noted the contention raised by the Appellant that in 2007 it had supplied project worth 6.7 million sq. ft. as against 16.8 million sq. ft. by Unitech and 10.7 million sq.ft. by Parshvanath. It also took stock of the argument that for the year ending March 2009, Parshvanath, had a turnover of Rs. 762 crore and land reserve of 4,224 acres while Unitech had land reserve of 11,179 acre and its turnover in the year ending

March 2009 was Rs. 3,316 crore. Even the contentions raised in respect of Ansal API and Omaxe were also considered. The Appellant, therefore, had argued that it had not launched any new project in the recent past and that the residential space offered did not constitute any substantial portion of the total residential space offered by various developers. However, the CCI observed that some facts in DG Report were not challenged by the Appellant, which was, that the Appellant had 13,000 acres of prime land, which far exceeded the land bank of Unitech. It was pointed out that the turnover of the Appellant for the year 2009 was Rs. 10, 035.39 crores which was 300% higher than that of Unitech and 700% higher than that of Parshvanath. The report of the DG was viewed by the CCI as creating a lucid picture of the comparative strengths of the Appellant when compared to its nearest competitors. In this way the factors of Section 19(4)(b) and (c) of the Act were given regard and viewed against the Appellant. The CCI then went on to discuss the factors in section 19(4)(d) to (m) of the Act and it was noted that the Appellant had started its business way back in 1946 and apart from residential sector, it had leading position in commercial, retail and office space sectors which was clear from its Red Hearing Prospectus. It was noted that the Appellant had developed more than 22 urban colonies spread over 32 cities and had 300 subsidiaries. It was then found by the CCI that viewing from any angle Appellant and its subsidiaries have a considerable higher position of strength in the relevant market in comparison with its competitors due to the above mentioned relevant factors and that it was way ahead of its competitors. The CCI also viewed the fact that in Belaire/Park Place/Magnolia Housing Project bookings were made despite the fact that all necessary clearances were not available with the Appellant. This was also viewed as a position of strength enjoyed in the eyes of consumers. The CCI commented that this showed the ability of the Appellant to influence its competitors or the consumers in the relevant market. This was inspite of the fact that even without any clearances, the consumers bought property from the Appellant. In para 12.82 of the order the CCI observed that:—

“Therefore, our assessment of dominant position is by looking at the profile, presence and achievements of DLF Ltd. over the years as well as its conduct, particularly in relation to consumers, over a period of time.”

91. While considering the residuary factors under Section 19(4)(m) of the Act, the CCI quoted from the website of the Appellant wherein it was boasted that the Appellant was steadily building its real estate business since 1946 and its business had a particular focus on the real estate development in the NCR, which includes Delhi and adjacent areas such as “Gurgaon”. It was also relied on the statement therein to the following effect:—

“Following the passage of the Delhi Development Act in 1957, the state assumed control of real estate development activities in Delhi,

which resulted in restrictions on private real estate colony development. We therefore commenced acquiring land at relatively low cost outside the area controlled by the DDA, particularly in the district of Gurgaon in the adjacent state of Haryana.....

DLF City is spread over 3,000 acres in Gurgaon and is an integrated township which includes residential, commercial and retail properties in a modern city infrastructure with schools, hospitals, hotels, shopping malls and a leading gold and country club. DLF City incorporates Cyber city, our leading commercial development which when completed is expected to have developed area of approximately 20 million square feet."

In para 12.85 a reference of the order was made to the statement of the Chairman of DLF to the following effect:—

"I am acutely aware that%.my company DLF is today regarded as the largest real estate developer in the world and has a pan-Indian presence with over 50 million sq. feet under construction%."

From all these aspects which were considered by the CCI while considering section 19(4)(m) of the Act, the CCI observed that the Appellant is a market leader and enjoyed unique position in the market. It had a leading position and had the ability to act independently of its competitor and also an ability to influence many of the factors which determine the market and its very characteristics. Very importantly it can often lay down the rules of the game, which power/strength it could naturally tend to exercise in its favour to the potential detriment of its competitors and consumers' interests. On this basis also the CCI held the Appellant to be a dominant player. We must record our appreciation for this detailed treatment of the subject by both the DG and also by the CCI.

92. Shri Salve while criticizing these findings, firstly urged that no data regarding sales figures of residential properties in Gurgaon was available either in respect of the new apartments launched by various competing builders/developers in the primary market or in the secondary market and therefore the observation made by the CCI in that behalf was incorrect. We do not agree with this contention for the simple reason that the size and resource of the Appellant, its capital employed, its total business is nowhere comparable to its competitors. There is nothing brought on record to suggest that any competitors at least in Gurgaon market has sold more than the Appellant.

93. It was also urged by the Appellant that the DG report was based on annual reports, which did not consider all the companies and that all India sales figures collected were incomplete and irrelevant. We do not agree with this contention also, as all the possible efforts seems to have been taken by the D.G. as also by the CCI in this behalf. It was urged by the Appellant that sales figures from the annual reports which have been taken into consideration related to the entire business activity of the Appellant and did not confine to transactions relating to residential properties in Gurgaon. This

contention has to be rejected also for the simple reason that while comparing the size and strength of the companies, *inter se*, all the factors have to be taken into consideration as to whether the size and resources of a particular company make it dominant or not and that precisely has been done by the D.G. We also reject the argument by Shri Salve that all India sales figures from the annual reports was incomplete and irrelevant in the matter. There is no other contradicting data available on record. At page 67 of the DG's report a table showing trends in market share of companies in housing construction during the period 2007–2008 and 2008–2009 was criticized by Shri Salve, for which we find that the CCI has satisfactorily re-dealt with that aspect. The CCI has given a deeper consideration to the fact that some data was not available in the public domain. The Appellant has also stated that sales figures of residential units of the group were not available. We do not find any error in this behalf and again that is not the only consideration by the D.G. or the CCI for holding that the Appellant was a dominant player. It was also urged by Shri Salve that the reports by JLLS and GENESIS were preferable over the reports of CMIE which was relied upon by the D.G. and CCI. We find good reasons have been given for preferring the report of CMIE and we agree with the same. The contention by Shri Salve in this behalf is rejected. In our opinion a stray example given in respect of other stray company would be of no consequence particularly in view of detailed treatment given by the CCI to the subject. We do not find any error in the consideration given by the CCI about the dominance of the Appellant in the market. We find the consideration by the CCI to be satisfactory. We also approve all the factors which have been relied upon by the D.G. and reliance on the D.G. report by the CCI. We therefore hold that the Appellant was a dominant player in the relevant market.

94. All this takes us to the most crucial issue in this matter, as to, whether the Appellant abused its dominant position. We must first make it clear that this marathon litigation related to three residential housing schemes, being *Belaire*, *Park Place* and *Magnolia* are in the same geographical area of Gurgaon. The CCI wrote the main order in *Belaire Owners Association v. DLF* in Case No. 19 of 2010. Separate orders were written by CCI in case of *Park Place* and *Magnolia* recording the facts and details relating to those schemes. However, in both the separate orders namely in *Park Place* and *Magnolia*, the CCI adopted its reasoning on the contentious issue as in Case No. 19 of 2010 and held that in view of its finding in Case No. 19 of 2010 and further in view of the fact that the nature of contravention of provisions of section 4 of the Act is identical in its object and effect which emerges from the position of strength of the Appellant in the same relevant market, since the ABAs in all the three residential housing schemes were practically identical, it was not imposing a penalty again in respect of *Park Place* and *Magnolia*.

95. There can also be no dispute that in all the three residential housing

schemes the ABAs were executed somewhere in 2006–2007, which was prior to the date when sections 3 and 4 of the Act were activated by the legislature.

96. We have on that count already held that since section 4 of the Act, was not available on the day when the ABAs came into effect, the various clauses of those ABAs could not be inquired into by the CCI. The CCI in its main order in Case No. 19 of 2010 had relied on the judgment of the Bombay High Court in *Kingfisher's* case which came out to be the only route whereby the CCI found justification for inquiring into the ABA and considering the various clauses of the ABAs on the ground that those clauses were absolutely one sided, unfair and as such had breached the provision of section 4 of the Act. We have also explained earlier, as to why the *Kingfisher* judgment by the Bombay High Court could not be used and relied upon for considering the various clauses in the ABA in the instant case. We have also explained that merely because of that judgment, which had no reference to the concept of imposition under section 4 of the Act, the CCI was not in a position to examine the clauses of the ABAs, which came into existence when section 4 of the Act was not available to the parties. In fact, in our opinion, the CCI has not gone deep into the *Kingfisher* judgment. It is a trite law that a judgment becomes law only when it actually decides the point in issue. We must at this juncture mention, that the point in issue is, as to, whether there was an imposition of one sided or unfair conditions on the day when the ABAs came into being. We have already pointed out that the position was not so. We had also very specifically held that merely because the ABAs were invoked on 20th May, 2009, it cannot mean that the imposition happened on the day when section 4 became available. In that view, we refuse to accept the analysis of the CCI regarding the various clauses of the ABA, which according to the CCI were one-sided, unfair and heavily leaned in favour of the Appellant.

97. We must hasten to add here that it was only because of the question of retrospectivity that we did not go into the merits of the analysis of various clauses of the ABA. However, we make it clear that it should not be meant that we have in any way considered the implications of those clauses of the ABA. It may happen that in an appropriate case and in the wake of availability of section 4 of the Act that inquiry could be gone into by the CCI. Therefore, we specifically record that we have not gone into the merits or demerits of these clauses of the ABA. It was urged at some point of time and there is also a stray reference in the impugned order of Belaire Owners Association that some of the ABAs were executed after 20th May, 2009 and these ABAs were identical with the concerned ABAs. We will not go by such stray references, because when we see the information, it is clear that the information referred only to the aforementioned ABAs, which were signed in 2006–2007. We are, therefore, not going into that question. In fact, the

ABAs executed after 20th May, 2009 could not have been identical with the earlier ABAs, which fell for consideration through the information led before the CCI, for the simple reason that in fact the total construction period agreed to by the parties, was itself to expire in early part of 2009, or as the case may be in some matters 2010. The ABAs therefore, were bound to be different, though the substratum of clauses of the ABAs could have remained the same. We must make it clear that we are not considering any ABAs executed after 20th May, 2009 and we have restricted this inquiry only to the ABAs executed in 2006–2007 against which the information was filed with the CCI.

98. Number of judgments of the Hon'ble Supreme Court were cited before us at the instance of Shri Gaggar and Shri Khanna. They being:—

- (i) *Boucher Pierre Andre v. Superintendent, Central Jail, Tihar New Delhi*, (1975) 1 SCC 192.
- (ii) *Vijay v. State of Maharashtra*, (2006) 6 SCC 289.
- (iii) *Ramji Purshotam (D) by Lrs. v. Laxmanbhai D., Kurlawala (D) by Lrs.*, (2004) 6 SCC 455.
- (iv) *Karnataka Industrial Areas Development Board v. Prakash Dal Mill*, (2011) 6 SCC 714.

All these cases, according to us, are entirely not apposite to the present controversy. We have nothing to say about the principles in those cases. None of them deal with the agreements executed before a law is activated.

99. The CCI has devoted a major part while deciding Issue No. 3 in Case No. 19 of 2010 regarding the abuse of dominance by the Appellant, restricting itself majorly to only one sided nature of the ABAs, but in our opinion that is not the be-all and end-all of the matter. What we are concerned is, as to, whether any actions have been taken by the Appellant, which actions are in contravention of section 4 of the Act. Shri Gaggar appearing for BOA and PP RWA as well as Shri Khanna appearing for MFOA, as also partly Shri Balbir Singh appearing for CCI have brought those actions to our notice and extensively argued on that basis. First and foremost the complaint is in respect of the addition of floors to all the three residential housing schemes. It is an admitted position that in all the three residential housing schemes, some additional floors were added. In the case of Belaire the original scheme consisted of five multi-storied residential building, each of this building was to consist of 19 floors and the total number of apartments to be built therein were to be 364. However, instead the Appellant increased 10 floors and constructed 29 floors in each building, i.e. in total 564 apartments were constructed instead of 364 originally promised. In case of Magnolia there were to be 19 multi-storied residential buildings of 17 floors each, which were increased by 5-9 floors in some buildings. While in Park Place there were 13 multi-storied residential buildings, consisting of 19 floors and thus in all 988 units were to be there.

However, instead the Appellant added 5-7 floors in each building and thereby added 572 more units. Thus making the total number of units to 1560. In case of Belaire and Park Place, each building was added with ten more floors. Some buildings were added seven floors and some others with three floors. In case of Magnolia the addition was of five floors in some, while 9 floors in some others. In this behalf, our attention was invited to Clause 21 of the ABA in Park Place Scheme. The clause is as such:—

“The Apartment Allottee agrees and acknowledges that the Company/Confirming Party shall have the right to make additions or to put up additional structure in/upon the Said Building or additional apartment building (s) and/or structures anywhere in the Said Complex/DLF Park Place as may be permitted by the competent authorities and such additional apartment building (s)/structures shall be the sole property of the Company/Confirming Party and the Company/Confirming Party will be entitled to deal with it in its discretion without any interference on the part of the Apartment Allottee (s). The Apartment Allottees agrees that the Company/Confirming Party, at its cost, shall be entitled to connect the electric, water, sanitary and drainage fittings on the additional structures/stories with the existing electric, water, sanitary and drainage source. The Apartment Allottees further agrees to undertake that he/she shall after taking possession of the Said Apartment or at any time thereafter shall have no right to object to the Company/Confirming Party constructing or continuing with the construction of the other building (s)/blocks outside/adjacent to the Said Building or inside the Said Complex or claim any compensation or withhold the payment of maintenance and other charges, as and when demanded by the company, on the ground that the infrastructure required for the Said Complex is not yet complete. Any violation of this condition shall entitle the Company to seek remedies provided under this Agreement in cases of breach, non-payment, defaults etc.”

100. Both the counsel for BOA, PPRWA as well as for MFOA very severely criticized this action and described the same as a blatant example of abuse of dominance. It was urged specifically that this addition of floors completely rattled the balance of “super area”. It was also urged that this increase very seriously affected the right of enjoyment of those who had entered into the ABA with certain expectations as to the number of lifts, number of persons using the common facilities such as swimming pool, gymnasium etc. For example, it was urged that where a building had four lifts, by addition of ten floors the number of users of the lift increased in geometric proportion, thereby putting the apartment owners to terrible inconvenience. Same complaints were also made about the common areas of parking and other vacant lands, which were bound to be kept vacant under the provisions of various relevant enactments. It was specially pointed out by Shri Gaggar that in case of Park Place the approval for the increase of

floors came only on 28.07.2009. In case of Belaire also though it was applied earlier, the approval for increase came only on 06.08.2009. In case of Park Place, it was pointed out that though the approval came on 28th July 2009, the construction had reached to 21st floor, which is clear from the letter written by DLF dated 7th July, 2009 addressed to RKG Hospitalities Ltd. There is a clear admission that on that day construction in Park Place had reached to 21st floor roof slab, which meant that the construction above 19 floors as per original approval was clearly illegal. Similarly in case of Belaire, according to the learned counsel it is obvious from the letter dated 22.04.2009 by DLF that by 17.11.2008 the construction upto 23rd floor was made, while the approval was applied on 30.12.2008 for the additional floors. It was pointed out by the learned counsel that the approval for 29 floors came only on 06.08.2009. All these contentions were raised, particularly to show that this was the attitude of the DLF, particularly after 20th May, 2009. In case of Magnolia also the story appears to be no different. On this basis, it was urged that by adding these floors, serious breaches were made to the allottees' right for club, swimming pool, toilets/change room, multi-purpose hall, gymnasium, restaurant etc. So also their rights to use lobbies, lift lobbies, lift shafts, electric shafts, fire shafts, plumbing shafts, service ledges on all floors, common corridors, passages and the club including its service areas for exclusive use were affected. The learned counsel urged that though it was stated that the Appellant would have right to construct additional floors, it remained tight-lipped about as to how many floors were to be added. It is clear that when the construction begun, the Appellant had a complete idea about the structural strength of the building, as to how many floors could be built on the foundation on the basis of the structural strength. However, nothing was informed to the allottees for their consent, all the three residential housing schemes and merely letters were shot by the Appellant to the allottees, informing them of their decision to add particular number of floors. Shri Gaggar argued that there was never any official communication by the Appellant regarding their unilateral decision to increase the number of floors. The three letters have been placed on record before us. The first letter is of 18th May, 2009, wherein an allottee had inquired about Park Place complex. It seems that regarding the letter dated 13th May, 2008 the Appellant sent a copy of the sanctioned letter from the Director of Town and Country Planning. However, it was informed in this letter that the sanction plan of the building complex of Park Place was not to be found anywhere along with the aforementioned letter dated 13th May, 2008. It was also suggested that at the time of booking the apartment, the allottees were given the impression that the total number of floors in each building would be 19, whereas the allottees had now come to know that the number of floors were increased to 29. A

complaint was therefore, made that this would result into squeezing of common facilities and/or space available to the residents of these buildings. This letter was promptly replied to by a letter dated 8th June, 2009. In this, the Executive Director-Marketing of the Appellant pointed out that when the property was sold to the allottee, it was clearly mentioned that the Appellant reserved the right to increase the number of floors of the building, as per the practice. It was then informed that accordingly the Appellant had sold the apartments in Park Place on the basis of number of floors "approved as on that date". It is again reiterated that it was understood that as and when additional floors were approved, the DLF shall be adding on so many floors to it. It was then assured that there was no squeezing of the common area or facilities, since the Appellant had taken care of all those things and the buildings were planned in such a way that additional floors would fit into it comfortably as far as structural aspects of the buildings were concerned. It was also assured that as far as the increase in number of floors was concerned, the Appellant would be writing to the allottees, giving them due credit and keeping everything in mind. Lastly, there is a letter by the General Manager-Customer Service of the Appellant to Director, RKG Hospitalities Ltd., which is in the nature of reply to the letter dated 3rd June, 2009 regarding the properties in Belaire and Park Place. In this letter, a clear cut reference has been made to Clause 9.1 of the ABA, which authorizes the Appellant to carry out such additions/alterations/modifications/deletions in the building plans, including the number of floors, in which case the Appellant would be seeking necessary approvals from the competent authority (s). It was further made out that the apartment allottee had authorized the Appellant to increase the number of floors in the said building/height of the building without any objection to the same by the allottee. Accordingly, the number of floors in both the buildings were increased as the Appellant obtained necessary approvals from the competent authority (s). Later on in the next paragraph of the letter, it was significantly stated that the Appellant was trying to honour its commitment of delivery of the apartments within 3 years/2.5 years from the date of execution of the ABA. It was then mentioned that the proposed date of the delivery of possession would be March 2010 in both properties respectively. It was then pointed out that the progress of construction of the project was going on in full swing and in Park Place the construction had reached 21st floor roof slab and in Belaire, the structural work was complete. The learned counsel on that basis pointed out that on that date, when the construction of Park Place was completed upto 21st floor and in Belaire, the construction had almost been completed upto all 29 floors, there was no approved sanction, either in Park Place or Belaire for the extended floors. From this, the learned counsel very specifically urged that through Clause 9.1 of the ABA, which permitted the

Appellant to increase the floors, the Appellant remained tight-lipped about the number of floors that it had proposed to add to the original floors and this surprise addition of ten floors in two residential housing schemes and about 5 to 7 floors in another was nothing but fresh imposition of the conditions. The learned counsel pointed out that in all the three residential housing schemes, the approvals for the construction came only after the advent of section 4 of the Act on the legal anvil. This blatant action, firstly by constructing additional floors without the necessary approvals and remaining tight-lipped about the total number of floors, was complained of as an abuse of dominant position on the part of the Appellant, which specifically is prohibited under section 4 of the Act. There is also a letter on which Shri Khanna relied upon, which is a letter dated 16.07.2009 written by the Appellant to one Mrs. Roohi Thakur, wherein there is a clear cut admission that the Appellant had constructed 22 floors on that day "with a view not to waste time". This construction certainly was without any official approval from the DTCP, Haryana. From this letter the learned counsel painted a picture of the woes felt by the original allottees, who had entered into the ABAs, that instead of sharing the swimming pool with 100 persons, they would now be required to share the same swimming pool with 1000 persons. Similar will be the story about the gymnasium, parking space etc. It was also pointed out that because of this abrupt number of increase, the quality of life in the apartment would certainly be affected adversely. It was pointed out that even if the floors were increased, the number of lifts could not be increased and therefore, a lift which was to be shared with 100 persons, would now have to be shared with 500 persons, which would add to day-to-day woes and all this without giving the faintest idea to the allottees as to how many floors were to be actually constructed and applied for. As if all this was not sufficient, the learned counsel for the Belaire, Park Place and Magnolia Owners Association expressed their concern that even now, they were not in a position to know whether the addition made in all the three schemes were final additions or not and whether there would be further additions possible or not. The learned counsel for the Owners Association therefore, stated that all these actions were post 20th May, 2009 and that it would certainly amount to abuse of dominance under section 4 of the Act, by imposing such unfair conditions. As against this, it was argued by Shri Salve that it was true that there was an increase in number of floors in Belaire, Magnolia and Park Place, the intimation regarding which was sent only after 20th May, 2009. It was urged by Shri Salve that mere sending of information subsequently, did not amount to imposition of condition under section 4 of the Act. It was again reiterated that such condition for the increase in number of floors was specifically incorporated in the ABA, to which the allottees had agreed, that if it was permitted subsequently, the allottees could have no objection to the same, specially as per Clause No. 9.1 of the ABA for Belaire, Park Place and Magnolia provided the same. It is only

on this basis that the Appellant has justified increase of the floors.

A further justification is that an offer was given to the original allottees that if they so wished, they could move up to a higher floor. A letter dated 24.11.2009 was brought to our attention.

101. What strikes us the most is the mysterious silence on the part of the Appellant, to let the allottees know the number of additional floors, which they planned to and would be constructing, which fact they knew at the very moment of starting of the construction. Even if that date of the ABA is prior to the crucial date of 20th May, 2009, the fact of the matter remains that on the date when the ABAs were signed, probably even the required approvals were not applied for. They were applied only after the ABAs were executed, but certainly before 20th May, 2009. However, the revised approvals in all the three residential housing buildings came certainly after 20th May, 2009. It is this element of surprise which is very striking. The Appellant in this regard conveniently kept quiet. At least when the Act came into force, they were bound to inform the allottees about the proposed increase in the number of floors and could not have relied on Clause 9.1 of the ABA, which was as vague as could be, without any indication about the number of floors that could be added under the rules. On the date when the approvals were sought for, the Appellant knew the strength of their construction that the building could bear the load of additional 10 floors. It is apparent from the correspondence sent by the Appellant that the letters were sent only after 20th May, 2009 i.e. after the advent of section 4 of the Act, wherein also probably there was no indication of the exact proposed increase in number of floors. There is no denial on the part of the Appellant that the allottees were constantly asking for the building and construction plans, so as to know the number of floors to be added. But even the intimation about the increase of the number of floors, at least in two cases were sent admittedly after 20th May, 2009. This according to us amounts to an imposition of unfair condition. In our opinion, the Appellant cannot hide itself behind Clause No. 9.1 of the ABA, which itself is as vague as it could be. Even today, it is not known, as to what is the strength of the building and how far can the Appellant go upto and whether it could add another five or ten floors at this stage. Only the Appellant knows it. A shocking surprise thus came to be slapped by the Appellant on the allottees by increasing ten floors, that too without finality, as it is still unknown as to whether the Appellant has let the allottees know about the total capacity of the building or its structural strength. It may also happen that if there are any changes in the relevant building rules and bylaws, the Appellant on the basis of Clause 9.1 of the ABA could still go up, thereby adding to the woes of the allottees, who have been and still are in a position of a trapped customer. In our opinion, though Clause 9.1 of the ABA authorizes the Appellant to increase the number of floors by constructing additional floors, but this imposition of additional

construction by addition of floors on the apartments of the allottees of all the three residential societies without any intimation and consent amounts to abuse of dominant position by the Appellant. The element of secrecy and also vagueness strikes us. In fact the terms in Clause 9.1 of the ABA about the entitlement of the Appellant to increase the number of floors is itself vague, as it gives no idea to the allottee as to how far the Appellant could go higher and how many floors it could add to each building. The Appellant, therefore, was expected to end this vagueness and it was bound to realize that the allottees could not be taken by surprise.

102. We are not at all impressed by the argument of Shri Salve and Shri Narain that the original allottees were given an assurance that they could move to a higher floor in the sense they could, instead of their previously selected apartment, can select an apartment out of the added floor. If they had done this, they were certainly required to forego their claims on the improvements made in the originally selected apartment, the special features, which were added to their apartments as also the expenditure for the same. This “magnanimous” offer was also not in absolute terms and it was only indicated in the aforementioned letter dated 25th November, 2009, that the Appellant could consider the moving the allottees on to a higher floor. Here also the Appellant was becoming vague, as it could accept moving some of the allottees to a higher floor and could reject the claim of some of the allottees to move on to a higher floor, thereby, offering this, the Appellant had kept the power to discriminate between allottees. This offer itself amounts to an imposition of discriminatory condition. It is well known in law that where a provision could enable an authority to discriminate, such provision itself is bad. On the touchstone of Article 14 of the Constitution, as also in the specific language of section 4(2)(a) of the Act.

103. What shocks us further is that though the DTCP Haryana permitted the Appellant to revise the building plan by allowing the Appellant to increase the number of floors in its building only on 22.09.2009, no notice was ever served on the allottees, who had already entered into an ABA with the Appellant. In fact when such revision of plans and the change of complex was undertaken with the assistance of DTCP Haryana, at least an intimation of the same was bound to be given to the apartment allottees, who had entered into the agreement of sale by that date. We are surprised and shocked that at least in case of Magnolia, DTCP Haryana allowed the increase in height and addition of the floors, without a public notice or without even providing a notice to the allottees individually.

104. It was also tried to be argued by Shri Salve that this increase was not objected to by the authorities of Directorate of Town and Country Planning, Haryana and it was within the framework of rules and therefore, no fault could be found with it. We are not here on the legality or validity of the construction, as we are on the impact that it made on the allottees, who did not have even a ghost of idea, as to how many persons they would have to

share lifts with or their common area, or for that matter their swimming pool and gymnasium. The unfairness lies in the sinister silence on the part of the appellant. The allottees should not have been kept on the suspended animation on the spacious and broad plea that the Appellant could add additional construction. May be the non-disclosure part thereof, does not strictly come within the mischief of section 4 of the Act, but when the Appellant had to take an action particularly after the advent of section 4 of the Act, the Appellant had a duty to disclose that it proposed to increase the exact number of floors and apartments to the extent that it did. The allottees could have taken valid objections, displaying their woes to share the amenities with hoards of other people. After all the allottees had been allured by the promise of the Appellant of all those luxurious facilities, in the absence of which, these apartments could not be termed as luxury apartments. Therefore, there was a duty on the part of the Appellant to let the allottees know about proposed increase and obtain their views about the same. If the Appellant had a duty not to be unfair, the allottees certainly had a right to expect fair behaviour from the Appellant. It is in this sense that we are viewing this unfair action on the part of Appellant, in first not disclosing the number of floors, at least after section 4 of the Act came on the legal scene and then in proceeding with the construction of additional floors, increasing the number of apartments by 53% in case of Belaire, Park Place and Magnolia.

105. The abuse of dominance does not stop here. The learned counsel pointed out that this increase in the area also created issues regarding the “super area”. The learned counsel, more particularly Shri Khanna, pointed out that this unprecedented and huge increase in the number of apartments created issues regarding the “super area”. We were taken through the definition of the term “super area” as contained in the ABA. It was shown by Shri Khanna that the total price payable for an apartment, car parking and undivided proportionate share in the land was recorded in Clause 1.1 and 1.2 of the ABA. It was shown that the sale price of the apartment was calculated on the basis of super area in accordance with the definition as set out in Clause 1.5 of the ABA, wherein it was clarified that super area comprised of the apartment area, pro-rata share of the common area as also the facilities within and outside the said building only and proportionate share of other common facilities, if any, which may be located anywhere in the complex. For this Shri Khanna relied on Clause No. 1.6(i). He argued further that the apartment allottee would also have undivided proportionate share in the common areas and facilities within the building or the said complex and also the proportionate share of other common facilities, which may be located within or outside the apartment building and for this purpose he relied on Clause 1.6(ii) of the ABA. He also invited our attention to Clause 1.6(iii) of the ABA. This clause provides that the apartment allottee shall have ownership of the undivided proportionate share in the

land underneath the said building calculated in the ratio of super area of the said apartment to the total super area of all apartments within the same complex. He then invited our attention to Clause 9.2 of the ABA, which provides for major alteration or modification in the super area. In this clause it is provided:—

“In case of any major alternation/modifications resulting in $\pm 5\%$ change in the super area of the said Apartment or material/substantial change, in the sole opinion of and as determined by the Company, in the specifications of the materials to be used in the said Building/said Apartments any time prior to and upon the grant of occupation certificate, the Company shall intimate the Apartment Allottee in writing the changes thereof and the resultant change, if any, in the price of the said Apartment to be paid by him/her and the Apartment Allottee agrees to deliver the Company his/her written consent or objections to the changes within 30 (thirty) days from the date of dispatch by the Company of such notice, failing which the Apartment Allottee shall be deemed to have given his/her full and unconditional consent to all such alternations/modifications and for payments, if any to be paid in consequence thereof.....”

106. In short, this clause brings in a ceiling of $\pm 5\%$ for a change in the super area according to Shri Khanna. He is undoubtedly right. He pointed out that for this purpose the proportionate share is based on the proportion between super area of the said apartment on one hand and the total super area of all apartments in the said building. For this Shri Khanna invited our attention to Clause 38 of the ABA. He further argued that for the purpose of calculating the sale price of an apartment the super area is the total of apartment area, its pro-rata share of the common area in the entire building and the pro-rata share of the other common area outside the apartment building, earmarked for use of apartment allottee including the club, swimming pools, toilets, change room, multi-purpose hall, gymnasium and restaurant etc. He invited our attention to the concept of apartment area also, which would mean to be the entire area enclosed by the periphery, including the area under walls, balconies etc. and half the area of common walls with other premises/apartments, which form integral part of the said apartment and common areas, which would in this case mean, such parts/areas in the building complex, which the allottee shall use with other occupants, which includes lobby, lift lobby, life shafts, electric shafts, fire shafts, plumbing shafts and services ledges on all floors, common corridors, passages and the club, including its service areas for exclusive use of apartment occupants. As per Annexure-II of the ABA, the tentative percentage of the apartment area to the super area is approximately 88%, which can undergo change upon completion on construction. The argument further suggests that the undivided proportionate share in the common area could not have been decreased to the disadvantage of the allottees, even if

the height of the towers were increased from 17 to 22 or 26 in case of Magnolia. Again relying on Clause 9.2 of the ABA, he pointed out that alterations/modification could only be $\pm 5\%$. He pointed out that because of the additions of these floors and increasing them from 17 to 22 or 26 the ratio of 88% has come down to approximately 51% and thus the undivided proportionate share has been decreased drastically. Shri Khanna alternatively argued that even if the additions to the floors were permissible as per Clause 9.2 of ABA, even then the Appellant had no right to alter or modify or to bring any variation more than this limit of $\pm 5\%$. It was pointed out that by increasing the height, 53% more apartments have been added and all that has resulted in more than 30% fall in the common area and facilities as originally sold by the Appellant. He pointed out that use of the word 'Tentative' in that clause cannot give right to the Appellant to effect such a drastic change. He pointed out that though the ownership rights in the common areas and facilities would fall by 51%, the allottees would be paying much more for the super area. According to him, this is nothing but an imposition of an unfair condition. Shri Khanna is undoubtedly right that while there was a drastic fall in the common area, there was drastic increase in the super area beyond 5%.

107. Shri Khanna pointed out that super area has been increased arbitrarily by the unilateral conduct of the Appellant. He pointed out that increase in super area could not be more than $\pm 5\%$ as per the language of ABA. He pointed out that admittedly in all the buildings in Magnolia the super area stood increased by more than 10% in some cases and in others it went even as high as 36%. As if this was not sufficient, the Appellant claimed additional amounts on account of the addition of the super area. He pointed out that in the garb of fixing final price, the Appellant was trying to extract increased price for super area, which was increased by more than $\pm 5\%$. The Appellant by letter dated 28.11.2012 addressed to Shri Sanjay Jain, one of the allottee, while offering possession of his apartment, informed him that the super area mentioned in ABA was only tentative to be finally determined after completion of construction of building and obtaining occupation certificate. That the super area was increased to 8007 sq.ft. as against the tentative super area of 5875 sq.ft., which amounted to an increase of 2132 sq.ft. An additional sum of Rs. 2,13,20,000/- was asked by the Appellant. By this letter, his consent was sought for and the Appellant informed him that as a gesture of goodwill, special rebate of 20% was given to him and he was asked to pay the sum of Rs. 1,27,92,000/- only for the increase in the super area of 2132 sq.ft. Very significantly the very said letter mentioned that if the consent was not given within 30 days, the only option available was a special exit scheme, with a special rate of Rs. 16,500/- per sq.ft, which the Appellant would pay for the total area of 8007 sq.ft, and if the said special scheme was not acceptable, then the amount already paid would be refunded with 9% interest per annum, as per Clause 9.2 of

the ABA. It was also stated in that letter that the final possession would only be given if the consent of the increased super area is received with the payment of all dues. It was urged by the learned counsel that similar letters were sent to all allottees of Magnolia. The learned counsel pointed out that even before this, the allottees had spent crores of rupees carrying out interior works in the apartments prior to the date of possession under Clause 10.1 of the ABA and thus in case they had to exit the scheme, they would lose all the investment. Shri Khanna also pointed out that all these allottees were suffering, with the increased super area bearing from 10% to 36%, which was permissible. According to Shri Khanna, this was nothing but a show of raw arrogance and unilateral conduct for which no further proof of the abuse could be required.

108. The contention about the drastic fall in the common area, even if that common area is considered to be the foot-print area of the building, could not be denied by the Appellant. Addition of the flats did not increase the foot-print area and with the result the share enjoyed by each allottee was undoubtedly drastically reduced. That in our opinion was only because of the increased in the number of apartments. The only defence raised by the DLF is, all that was permissible under Clause 9.1 of the ABA and therefore, they were within their rights. We have already shown that the intimation regarding the increase in the number of floors was undoubtedly sent after 20th May, 2009. It is therefore, clear that by increasing the super area by more than 5% and by decreasing the common area also by more than 5%, the Appellant breached the ABA, which breach was possible only on account of its dominance, as it was well aware that allottees had no other choice, but to accept the same. The only option left with the allottees was to exit the scheme, which was unimaginably costly. We have also given our reasons as to why we are treating this increase to be an abuse of dominance. It was this element of secrecy and the element of uncertainty about the number of floors and apartments, which made it a tainted condition.

109. In so far as the change in the ratio between apartment area and super area is concerned, all that was argued by the Appellant was that the condition mentioned in Clause 1.6 of the ABA in case of Belaire the word 'tentative' appears. It was therefore, urged that the super area as well as apartment area were both tentative and the change in percentage therein was also tentative. We have already pointed out that there could not be any change of more than 5% in the super area of the apartment. The same applies also to the percentage ratio between apartment area and super area. We have also shown that while there was a drastic decrease in the common area, there was a drastic and unnatural increase in the super area also. Merely by the use of word 'tentative' all this could not be justified and all these changes undoubtedly came after 20th May, 2009. We, therefore, do not accept the argument on the part of the Appellant that because of the

use of word 'tentative' all this drastic increase in the super area and decrease in the common area was possible and could be justified. This is all the more on the basis of specific language of Clause 9.2 of the ABA, which provides that such modifications, could not be more than by 5%.

110. It was argued by Shri Salve that the change was within 10%. However, the Appellant did not show as to how the super area was changed within the limit of 10% in case of Belaire and Park Place. Beyond a bare statement, nothing more was shown to us. In case of common area, however, the common area undoubtedly must have been decreased by more than 10% for the simple reason that 53% floors were added. Considering the number of apartments added by this increase, it cannot be viewed that the common area, i.e. the foot area of the building did not drastically decreased and was within the permissible limit of 10%.

111. In so far as argument about the super area is concerned, it is almost an admitted position that the super area has drastically increased. The Appellant has tried to justify by arguing that the entrance lobby was increased, so that a part of it was extended beyond the super structure and as such the roof thereof could be used as a terrace along with the apartment located above the entrance lobby. It is an admitted position that in case of six apartments in Magnolia, there was an increase of 23% of the super area. It is also an admitted position that even without this increase, the increase in super area was certainly more than 5%. It was tried to be justified by the Appellant that besides the six apartments, there are 18 other apartments, where terraces were given and in these cases also the total increase in the super area was about 17% and after deducting the increase in the area on account of terraces, the increase was 8%. It is admitted that in one apartment the total increase in the area was 19.85%, including the terrace area and after excluding the terrace area, the increase in the areas was less than 10%, but certainly more than 5%. The Appellant further argued that if any apartment allottee did not desire to take the terrace area, he would not be charged for it. This does not however, absolve the Appellant from the liability arising out of increasing the super area beyond 5%. It is not the case of the Appellant that the increase beyond 5% of the super area would not be charged. The case of Shri Sanjay Jain was referred to by Appellant in its written arguments to suggest that in so far as the terrace area was concerned, the increase in the amount was for Rs. 1,59,40,000/- and that it was discounted to Rs. 31,88,000/-. Thus a substantial discount of Rs. 1,27,52,000/- was given. That may be so. The figures which we have mentioned earlier are about increase in the total super area, whereas the figures referred to in the written notes of arguments pertain to the increase in the area due to the addition of terrace area. That is the only difference. However, the fact remains that on account of the super area, the Appellant not only attempted to charge but also handed out a threat for the allottee to quit the scheme. It was argued that if there was a substantial increase in

super area of about 5%, the consent of the allottee would be sought and if allottee objected and did not agree to take the increase super area, then the allottee would be given refund of the entire amount paid by him together with interest of 9% and the agreement would stand cancelled. One can imagine the condition of the allottee, who has spent lakhs and crores of rupees for securing the allotments by entering into the ABA. If super area could not be increased by more than 5%, then the Appellant could not have charged for the increased super area by merely relying and hanging on the word 'tentative' in the ABA. The argument that it had given substantial discount of 20% is also without any substance for the simple reason that ultimately the allottee had to pay extra only on account of the increase in the super area, which was the result of the addition of the floors. On the whole, it was only the Appellant who was going to be benefited and not the allottee, who had to cough out substantial amount in order to continue with the residential scheme. One cannot forget that even after giving the discount, the Appellant would be in a position to charge extra amounts. We have therefore, no hesitation in accepting the argument of Shri Khanna that the hefty increase in the super area amounted to an abuse of dominance by the Appellant. The super area undoubtedly was increased because of the addition of the floors. We therefore, accept the argument of Shri Khanna in respect of the super area. We have already observed about the common area and its drastic fall on account of the addition of the extra floors. We accept both the arguments.

112. Similar arguments were raised by Shri Khanna on account of demands made in case of centrally air conditioned apartments. Our attention was invited to Clause 1.2 of the ABA, where the total price was escalation free except for exceptions set out in the said clause. The learned counsel pointed out that ABA was executed for the allotment of a semi finished residential apartment, having specifications as set out in Annexure-V of the ABA. When Annexure-V of the ABA is to be seen, it would appear that in the centrally air conditioned apartment, distribution shall be provided as per the standard layout of the apartment and any changes to the standard layout should be on the allottees account. He points out that there was no other specification set out in respect of centrally air conditioned apartment in Annexure-V. It was therefore clear according to the learned counsel that the price of the apartment sold was inclusive of central air conditioner and the price being escalation free and inclusive of specification as in Annexure-V, no further demands could therefore, be made from the allottees. However, it was pointed out by a letter dated 21.02.2011 all allottees of such centrally air conditioned apartments were informed that they would be liable to pay extra sum, more than Rs. 14 lakhs on account of the internal work, which included water proofing, foam concrete filling in sunken areas plus plain cement concrete, plumbing works in toilets and kitchen sunken area, cooking gas line piping and air conditioning work. In fact, as per the ABA, it

was the responsibility of the Appellant to execute all these works.

113. We have carefully scanned the information. However, this complaint about the extra payment in respect of the centrally air conditioned apartment is not to be found in the information led on behalf of the owners of the apartments in Magnolia. This is apart from the fact that this complaint would depend upon the issue as to whether there was any upgradation in respect of the air conditioning system for these apartments. It is clear from the Annexure-V of the ABA that any change in the distribution system would be on account of allottees. Since it is a disputed question of fact, and not specifically pressed before and considered by CCI, we refuse to entertain the same. If the allottees so feel, they may move the CCI on this count.

114. The learned counsel then complained about the club facility in Magnolia. Our attention was invited to Clause 1.6 of the ABA. The learned counsel argued that the area of the club was included in the super area of the apartment. As per that clause, the apartment allottee would have an undivided proportionate share in the common areas and facilities within the said building/said complex and proportionate share of other common facilities, if any, which may be located within or outside the apartment building. The learned counsel invited our attention to Annexure-II of the ABA and pointed out that the sale price in respect of the said apartment shall be the sum of apartment area of the said apartment, its pro-rata share of common areas in the entire said building and pro-rata share of other common areas outside apartment building, earmarked for purpose of all apartment allottees in Magnolia, which include the club with swimming pool, toilets, change room, multi-purpose hall, gymnasium etc. Our attention was also invited to Clause 1.1 of the ABA and it was pointed out that under that clause the Appellant agreed to sell and the apartment allottee agreed to purchase the semi-finished apartment having specifications set-out in Annexure-V of the ABA.

115. It was therefore, argued by the learned counsel that the club was in a common area included in specification of the semi-finished apartments, with the area of the club calculating sale price in respect of every apartment. It was, therefore, urged that every allottee in accordance with Clause 1.6 of the ABA had pro-rata undivided share in the club area and facilities. It was pointed out by the learned counsel that the club was constructed on the ground floor of two of the Magnolia towers. It was therefore, argued that the club and the facilities as set out in Annexure-V of the ABA were owned by the allottees in proportionate to their respective shares in the property. It was therefore clarified that there could not be a charge towards the entrance fee or membership fee for exclusive Magnolia club as every allottee has a right to use the same. It was then complained that by letter dated 16.08.2013, the Appellant had demanded onetime non-transferrable, non-refundable entrance fee of Rs. 3,50,000/- along with a non-refundable annual subscription fee etc. adding up to a total sum of Rs. 4,96,350/-. It

was pointed out that by the said letter, it was made clear that membership was for the exclusive use of the residents living in Magnolias. It was, therefore, argued that since the allottees had paid for the said club and the said club was owned by the owners of the apartments in Magnolia, their right of entrance could not be curbed by a membership fees and demand of such membership fees was clearly an abusive act and misuse of its dominant position. It was pointed out by Shri Khanna that this right of use could not be taken away by imposition of a charge and the Appellant could at best impose a charge for utilization of the facilities and restaurants, spa and other facilities in the club. On this ground, it was alleged that such a demand for membership would amount to abuse of dominance. We do not think we can consider this issue, particularly, when this issue is not even to be found in the information led on behalf of the residents of Magnolia. It does not seem that this very issue was pressed or considered by CCI. The allottees are free to raise the issue afresh before appropriate authority.

116. It was alleged that in all the three residential housing scheme, the rate for holding charges was increased after 20th May, 2009 and therefore, this one-sided increase of the holding charges amounted to an abuse of dominant position. The Appellant has taken the position that the imposition of holding charges was not the subject matter of this Appeal. We do not think so. This issue is connected with the contention regarding delay in construction, which was gone into by CCI. Therefore, this issue was allowed to be argued before us.

117. In this behalf, when we see the ABA itself, Clause 10.3 of the ABA in Belaire, Clause 9.5 of the ABA in Park Place and Clause 10.4 of the ABA in Magnolia provided for the holding charges. The concerned clause which is identically worded in all the three ABAs provides that if there was a delay on the part of the allottee to take possession after the same was offered by the Appellant, the Appellant would charge Rs. 5 per sq.ft. per month for the total period of delay occurring on the part of the allottee. It was also pointed out during the debate that by their letter dated 24.11.2009, this charge was increased unilaterally from Rs. 5 per sq.ft. per month to Rs. 10 per sq.ft. per month, in case of Belaire and Park Place. This fact has to be found in the information led before the CCI, though in a different form. Therefore also it cannot be said that the inquiry did not relate to the holding charges. It was one of the main complaint on the part of the allottees as the liability of the allottees, who were not able to take the possession after it was offered, was seriously affected in the sense it was doubled in contravention of the ABA. It was argued by the Appellant that concurrence of the allottee to the change in conditions mentioned in the said letter was sought for and this action of seeking the concurrence cannot amount to the imposition upon the allottee. It was also argued for the Appellant that allottees were free not to accept the said changed condition. It was further argued that if any allottee had not sent his concurrence, this change in case of holding charges was not to

apply. However, the Appellant further qualified this argument by suggesting that such allottee would also not be entitled to increased compensation for delay in construction. In our opinion these two things are quite apart from each other, because the delay in construction has got nothing to do with the inability of the allottee to make the proper payment in time, so as to be able to take the possession. Such a situation has to be imagined that the Appellant will offer the possession to him, only and only if he is ready or has made the full payment. Where the apartment is ready, but the allottee has not taken the possession perhaps because of his inability to arrange for the finances, the situation will occur, that he would have to pay the holding charges originally at the rate of Rs. 5 per sq.ft per month, now at the increased rate of Rs. 10 per sq.ft. per month. Therefore, there is no point in Appellant's arguing that in case, allottee did not concur with the increase of Rs. 5 to Rs. 10 in case of holding charges, he would not be entitled to the compensation on account of delay in construction. The two situations have absolutely nothing in common and it would amount to adding a new condition that in order to be liable to pay the compensation on account of delayed construction, the concerned allottee would have to concur the increased holding charges. This is nothing but a ruse to avoid the payment of compensation on account of delayed construction. All the allottees were actually clamouring for on account of the delay in completion of the project. If some allottees had not sent the concurrence either accidentally or otherwise, they would automatically loose the right to receive compensation for the delayed construction. In our view, such unilateral increase in the holding charges and the threatened consequence did amount to abuse of dominance by the Appellant. The argument that this would amount to contractual dispute is wholly incorrect. This was nothing but a ruse to avoid paying the compensation on account of the delayed construction and it is well known that all the three residential housing scheme, there was delay in the construction, thereby making the Appellant liable to make the payment of compensation. It was also pointed out before us that the Appellant had stopped recovering the holding charges on account of the interim directions dated 16.05.2013. That may be so, but the very fact that the Appellant was intended to recover the increased holding charges at the rate of Rs. 10 per sq.ft. per month, instead of Rs. 5 per sq.ft. per month, speaks of abuse of dominance by the Appellant. The Appellant in this fashion not only increased the charges unilaterally but rewrote the contract in total derogation to the earlier ABA, where the payment of compensation for the delayed construction did not depend upon any such concurrence. This was a new set of terms for binding the allottees. We are convinced that this amounted to abuse of dominance, since this was conducted in the most unfair condition.

118. We partly agree with the findings of CCI in respect to the final orders passed, though we do not agree with the contention regarding the one-sidedness of various clauses in the ABA simply on account of the fact

that those ABAs could not have been considered by the CCI. We again even at the cost of repetition reiterate that we have not commented on merits or demerits of these clauses in the ABA and leave the question open as we are told that the present ABA executed by Appellant also are similarly/identically worded. We, therefore, leave that question open. At this juncture we must express that our observations are only in respect to the ABA executed prior to 20th May, 2009.

119. There is one more feature that we must comment upon. It has come on record and established that the constructions of all the three residential housing schemes particularly, the construction of the additional floors, were going on with full swing even without any approval or revised plans by the relevant authorities. We are surprised that no actions were taken against the Appellant and the civic authorities remained blissfully ignorant about the on going unauthorized constructions. We did not expect a responsible leading and number one real-estate company in the world (in their own words) to flout various provisions of DTCP, Haryana and relevant statutes in this regard. Indeed there cannot be any justification in constructing anything in the proportion as Appellant did without the proper approvals or finalization of the sanctions of the revised plans. When we look at the submissions made by Shri Narendra Hooda, Senior Additional Attorney General and Ms. Bano Deswal, Additional Attorney General for State of Haryana, we draw a complete blank on any such action. It cannot even be imagined that the DTCP Haryana or as the case may be, the civic authorities were not knowing about the additional constructions, which were going on in full swing, without the necessary approvals and without the sanctions of the plans. Shri Narendra Hooda Addl. Advocate General placed the legal position before us and also placed submissions. There are three legislations which govern the development of a colony, which are-(1) Punjab Scheduled Roads and Controlled Areas Restriction of Unregulated Development Act, 1963; (2) Haryana Development and Regulation of Urban Areas Act, 1975 (hereinafter called 'Act of 1975'); and (3) Haryana Apartment Ownership Act, 1983. It is mentioned that the provisions of Act of 1975 applies to the license colonies. Section 2 of the Act of 1975 defines the words colonies, colonizer, development works, external development works, flat internal development works and urban area. A reference is then made to section 3(1) of the Act of 1975, which provides for the grant of license by the Director for development of the land into a colony. A further reference is made to section 3(2) of the Act of 1975 for the nature of enquiry regarding title of land, extent and situation etc. is to be made by the Director. Section 3(3)(a)(iii) and 3(3)(a)(iv) of the Act of 1975 are then pointed out for providing the conditions for the development of the colony and the various requirements of such colony. Further it is pointed out that there are no separate Buildings Rules provided under the Act of 1975 and for the approval of Building Plans, the provisions contained in the Punjab Scheduled Roads and Controlled

Areas Restriction of Unregulated Development Rules, 1965 apply. These Rules specifically provided that at the time of approval of the building plans under Rule 39 of the Rules 1965, the site plan is to be approved indicating the building blocks, community facilities, organized greens, permissible/proposed coverage, floor area ratio (FAR) projected population, number of main dwelling units, economically weaker section (EWS) units, parking requirements etc. A reference is then made to the zoning plan, which is prepared under rule 38(xlii) and 48(2) of Rules 1965, which provides that Zoning plan shall mean the detailed layout plan of the sector or a part thereof maintained in the office of the Director showing the sub-division of plots, open spaces, streets, position of protected trees and other features and in respect each plot, permitted land use, building lines and restrictions with regard to the use and development of each plot. A reference is made to the power of the Director levying additional restrictions on erection or re-erection of building. It is then pointed out that the authority for approval of the building lies with Director, Town and Country Planning Department under Rule 39 to 47 of Rules 1965 and after the construction of the building the colonizer is required to obtain the occupation certificate as per requirement of Rule 47. A reference is also made to Rule 16 of the Haryana Development and Regulation of Urban Areas Rules 1976, which pertains to the issue of completion certificate. A reference is then made to section 6 of the Haryana Apartment Ownership Act, 1983, which provides that each apartment owner shall be entitled to an undivided interest in the common areas and facilities in the percentage expressed in the declaration, as contained in the Deed of Declaration (DoD). It is then reiterated that the occupation certificate has already been granted under Rule 47 of the Rules 1965 and as per the provisions of the Haryana Apartment Ownership Act 1983, the deed of declaration for all the group housing schemes have already been filed by the colonizer i.e. DLF. Thereafter, a reference is made to Phase 5 colony in Gurgaon, which is spread out in Sectors 42, 43, 53 and 54 of Gurgaon, which contain all the residential housing buildings in question i.e. The Belaire, The Magnolia, The Park Place. It is then suggested that the total area of the three group housing colony together measures 476.4265 acres. Reference is then made to FAR, which is defined under Rule 49 of the Rules of 1965 and a table for calculating the same is also referred to. The table is as under:—

Total minimum ground coverage (25%) as prescribed in the zoning plan.	119.107 acres	482008.16 sq.m
Total Achieved Ground Coverage (11.20%)	53.342 acres	215867.07 sq.m
Total FAR Permissible (1.75) prescribed in the	771.215 acres	3120991.4 sq.m

zoning plan for group housing project		
Total FAR Achieved (103.66) under group housing project	493.9 acres	1998739.2 sq m

It is then reiterated that the FAR has to be calculated for the entire area of group housing colony in Gurgaon Phase V, and cannot be sub-divided for each individual group housing scheme. A declaration is then given that in this case the FAR norms have not been violated. It is then pointed out that this contention was raised on the basis of mis-interpretation of the scheme of the statutes. Again it has been reiterated that the FAR has to be calculated for the entire area of group housing colony and as per the calculations of the answering respondent, the permissible FAR has not been exceeded. Then a table is given, describing the community sites, which are shown to have been completed and it is pointed out that total 31.30 acres of area was provided under community sites.

120. The learned Advocate General, Haryana then states that in so far as the increase in the height of the building and revision of building plans of group housing colony is concerned, the building rules under the Haryana Development and Regulation of Urban Areas 1976 do not restrict the colonizer for the same. It is then pointed out that before 13.05.2008, the height of the residential building for group housing colony was allowed up to 60 meters and colonizer got his building plans approved for the colony in question with allowable height. According to the submission, the original building plan was approved by the Director on 18.04.2007, while revised building plan was approved on 06.08.2009. It is then submitted that *"Thereafter keeping in view the provisions of National Building Code (Part-IV) for de-restricting the height of the building and in view of the availability of latest technology for structural design and firefighting, the government removed the limit of maximum height of the building in case of group housing colony and commercial colony subject to clearance of the structural stability from the recognized institutions like IITs, Punjab Engineering College (PEC), Regional Engineering College, NIT"*. A very important submission is then made *"It is pertinent to mention here that the revised building plans for colony in question was approved with condition that the colonizer shall not construct the building beyond 60 meters without submitting the structural drawing duly approved from the reputed institutes mentioned above. Accordingly, Indian Institute of Technology, Delhi have issued the certificate by reviewing the designs and drawing"*.

121. From these submissions, at least one thing is clear that even when the height restriction was 60 meters when the original sanction for the buildings in these clusters were granted. At that time the policy of the government for increase of the height was nowhere in the picture or at least that is not the case of the Appellant. However, surprisingly even when no

permissions were granted to go beyond 60 meters by adding additional floors, the Appellant had already laid its foundation to construct a building which was likely to go beyond 60 meters. All that was without any approval when the Appellant started constructing the building and then proceeded to add additional floors and when that construction of the additional floors was going on, the Appellant did not have the necessary permissions or the sanction for the revised plans, which came much later in the year 2009. We have made reference to letters wherein there are admissions that the Appellant had already exceeded its sanctioned 19 floor and at the relevant time, i.e. even before the sanctions were given, its construction for Park Place for 21st floor was going on and in case Belaire the construction was almost complete for 29 floors. We are simply shocked to read all this and then to find that a certificate of validity being given from the DTCP Haryana as well as the State of Haryana. Since the increase of the height of the building was complained of by the allottees, who were clamouring for the finalized plans, we have touched upon this subject. Therefore, one thing is certain that till the final approval came somewhere in the year 2009, any construction beyond 19th floor in case of Park Place by two floors and in case of Belaire by 10 floors was wholly illegal or at any rate unauthorized. In our opinion such unauthorized construction after the advent of section 4 on the legal anvil also amount to the abuse of dominance by the Appellant, as what was being offered by the Appellant to the allottees was a piece of illegal and unauthorized construction, which amounts to imposing unfair conditions against the wishes of the consumer (buyers/allottees in this case). We cannot imagine as to what would have happened had the approvals not come in the year 2009 by which time, the 29 floors of Belaire residential housing scheme was already over. Unfortunately, this aspect was not taken into consideration by the CCI, which it was bound to consider.

122. The learned counsel of the Owners Association have very seriously argued the breach of density norms and the provisions of FAR. We are not very happy with the explanations given by the State of Haryana in this behalf. If the explanation by the State of Haryana is to be accepted, then it would be held that where a license is for 300 acres, the colonizer could construct the buildings only in 5 acres and allow thousand of persons to live in such clusters. Such in our opinion cannot be an explanation of the density norms. Such norms could not have been allowed to be flouted on the specious plea that the license was for a very large acreage. The learned counsel very seriously argued that if this is the interpretation of treating the entire area of the group housing projects in Phase V Gurgaon for fixing the FAR, then the colonizer would get a free hand to construct all his building in a narrow corner of the licensed land and then even accommodate thousands of persons in derogation of density norms. It is very significant that in the whole written submission, by State of Haryana there is no reference to the density norms. Under the circumstances, we feel that the government

authorities ignored and misinterpreted the various provisions, particularly in respect of the requirement of the necessary approvals by the DTCP Haryana while constructing the additional floors. A contention was raised that the Appellant had violated the various provisions of laws regarding the requirements of the area of the land, which was required to be reserved as per the relevant applicable Land and Revenue Laws. It was also urged in a very serious manner that even the building rules were flouted by the Appellant. We do not want to go into that question, as the CCI has rightly refused to consider that question, since that does not have anything to do with the competition jurisdiction. It would be open for the Informants or others to raise this question before the appropriate authorities. We further make it clear that we have gone only into those infractions which are post 20th May, 2009 and which could come within the scope of Section 4(2)(a) of the Act. Our reference to the illegal construction of additional floors, at least till the actual approvals were granted has to be read in that light. So also our observations about the 'density' have to be read in that manner. We have expressed in the question of density as that question was not argued before us on behalf of State of Haryana.

123. For all these reasons, we are of the firm opinion that the Appellant had abused its dominant position and committed breach of section 4(2)(a) (i) and section 4(2)(a)(ii) of the Act. We accordingly confirm the findings of CCI to the extent that we have shown in this judgment.

124. This leaves us to the question of penalty. The CCI has inflicted a penalty of Rs. 630 crores, which is 7% of the turnover of the Appellant. We cannot expect a leading player like DLF to go on in this fashion. After all as a dominant player in the market, it has a special duty to be within the four corners of law. It was argued that the CCI has given no reasons, why it was inflicting the heavy penalty of Rs. 630 crores which is 7% of the average total turnover. In our opinion, when we look at the order of the CCI, according to us there are enough reasons given for the same. It was also urged that since we have found the approach of the CCI in relying on the clauses of the ABA and dealing with the same incorrectly, therefore, we should lessen the penalty. We do not agree. An abuse of dominance whether it is on one count or on many remains an abuse and therefore it must be dealt with iron hands.

125. Here, we cannot be unmindful of the fact that the individual allottees even if they come from the highest strata of the society, either collectively or individually, were pitted against a mighty company, which brand itself to be the Appellant is biggest real-estate developer. We also cannot ignore the fact that the DLF was a market leader and it was stressed before us by the counsel appearing for the allottees that the other real estate company have also adopted almost the same language in the agreements, which is used by the Appellant with their allottees. Therefore, the Appellant was clearly posing itself and was in fact the leader in the

market, having its presence all over in India. This certainly was not a fight between the equals. We are also not unmindful of the fact that any individual howsoever rich he may be, after investing crores of rupees, could not have quit the scheme, in view of the fact that he had become a trapped customer. The order of CCI as well as this judgment is expected to go a long way to ameliorate all the conditions of the customers. Competition law must be read in the light of the philosophy of the Constitution of India, which has concern for the consumers. If the consumer is exploited by a mighty builder, then such mighty builder cannot claim soft attitude from the State. We, therefore, refuse to bring down the penalty in any manner.

126. We therefore, confirm the order of the penalty.

127. The Appeal Nos. 23 of 2011, 12 of 2012, 20 of 2012 and 29 of 2013 are in respect of the information lodged by individual. Those Appeals would also have to be dismissed in the light of the present judgment. The CCI has in all the matters passed a common penalty. We therefore, need not entertain these Appeals individually. They are disposed of accordingly.

128. This takes us to the Appeal Nos. 8 of 2013, 9 of 2013 and 11 of 2013, where the CCI has suggested changing the clauses. Since we are not dealing with the clauses of the ABA we feel that we should not entertain those Appeals. During the arguments, Shri Balbir Singh the learned counsel appearing for CCI clarified that the supplementary order of the CCI in those Appeals was not in the nature of order in law, but it amounted only to suggestion on the part of CCI. As a matter of fact, if this Tribunal had directed the CCI to pass the orders, there was enough authority in the CCI to pass the order without giving it any nomenclature. Be that as it may, since we are not dealing with those orders on the grounds, which we have already given and since according to the CCI itself, they are only in the nature of suggestions and not the binding nature, it will not be necessary for us to deal with those Appeals. Those Appeals have to be disposed of as infructuous. In the result Appeal Nos. 8 of 2013, 9 of 2013 and 11 of 2013 are dismissed.

129. Before we close this judgment, we must put a word of appreciation for the learned counsel of both the sides, who appeared in this matter. The learned counsel have shown an exemplary industriousness in collecting the documentary evidence and putting the same before us. The records in this case run in thousands of pages. However, this Tribunal was assisted by all the learned counsel very ably. With this we close the Appeals.

* [Under Section 53B of the Competition Act, 2002 against the order dated 12.08.2011 passed by the Competition Commission of India in Case No. 19/2010]

† [Under Section 53B of the Competition Act, 2002 against the order dated 29.08.2011 passed by the Competition Commission of India in Case No. 18/2010]

[‡] [Under Section 53B of the Competition Act, 2002 against the order dated 31.01.2012 passed by the Competition Commission of India in Case No. 67/2010]

[¶] [Under Section 53B of the Competition Act, 2002 against the order dated 29.08.2011 passed by the Competition Commission of India in Case Nos. 24, 30, 31, 32, 33, 34 and 35/2010]

[§] [Under Section 53B of the Competition Act, 2002 against the order dated 14.11.2011 passed by the Competition Commission of India in Case No. 55/2010]

^{*†} [Under Section 53B of the Competition Act, 2002 against the order dated 31.01.2012 passed by the Competition Commission of India in Case Nos. 43 and 44/2010]

^{*‡} [Under Section 53B of the Competition Act, 2002 against the order dated 01.07.2013 passed by the Competition Commission of India in Case No. 46/2012]

^{*¶} [Under Section 53B of the Competition Act, 2002 against the order dated 03.01.2013 passed by the Competition Commission of India in Case No. 19/2010]

^{*§} [Under Section 53B of the Competition Act, 2002 against the order dated 10.1.2013 passed by the Competition Commission of India in Case No. 18/2010]

^{†*} [Under Section 53B of the Competition Act, 2002 against the order dated 10.1.2013 passed by the Competition Commission of India in Case No. 67/2010]

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